

July 31, 2026 06:14 AM GMT

Investor Presentation | Asia Pacific

China Equity Strategy: Time to Add Hong Kong Back

MORGAN STANLEY ASIA LIMITED+

Laura Wang

Equity Strategist

Laura.Wang@morganstanley.com

+852 2848-6853

Chloe Liu

Equity Strategist

Chloe.Liu1@morganstanley.com

+852 2848-5497

Vicky Wu

Equity Strategist

Vicky.Wu@morganstanley.com

+852 3963-3928



Morgan Stanley does and seeks to do business with companies covered in Morgan Stanley Research. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of Morgan Stanley Research. Investors should consider Morgan Stanley Research as only a single factor in making their investment decision.

For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

+ = Analysts employed by non-U.S. affiliates are not registered with FINRA, may not be associated persons of the member and may not be subject to FINRA restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

We Believe July-September Offers an Opportunity for Hong Kong to Rebound; Here Is Why

Intrinsic bottom-up improvement of Hong Kong market dynamics:

- 2Q results season proving bottoming out of earnings, especially for the internet/ecommerce sectors, thanks to reigning of price competition by regulators starting from mid-April 2026;
- Progress made on AI front demonstrated by new LLM launches and AI functions added to established ecosystems alleviating investor concerns over Chinese hyperscalers re their capex expansion plan;
- Massive IPO share unlocking pressure that had mounted since May 26 being steadily digested.

External global factors that have helped:

- Global market volatility leading to unwinding of funding short positions built against HK;
- Limited exposure to AI and therefore lower correlation with the global market;
- Very low positioning by global investors.

Source: Morgan Stanley Research.

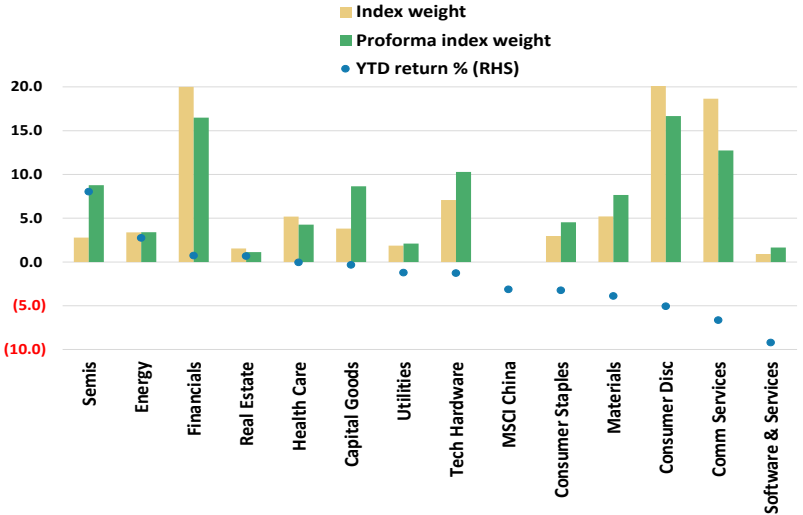
MSCI China Has Underperformed Emerging Market Mainly Due to AI Memory Super-cycle; We Expect Outperformance since July to Sustain in 3Q



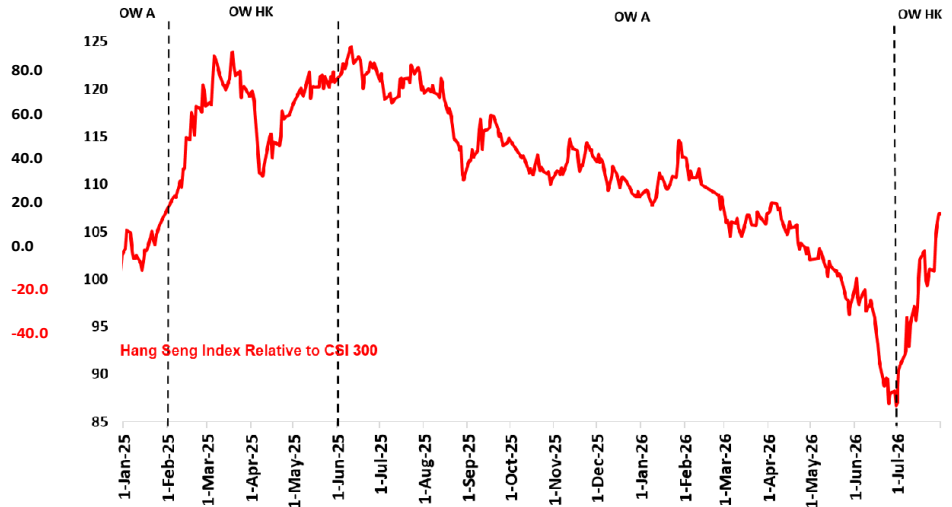
Source: MSCI, FactSet, DataStream, Morgan Stanley Research. Data as of July 27, 2026. Past performance is no guarantee of future results.

Decoding the Broad Index Performance – and Is Suffering from Such Correlation Now

Semis (mostly in A-share market)
highly correlated with the global cycle



Our A-share vs. Hong Kong call history



Source: FactSet, Morgan Stanley Research. Data as of July 28, 2026.

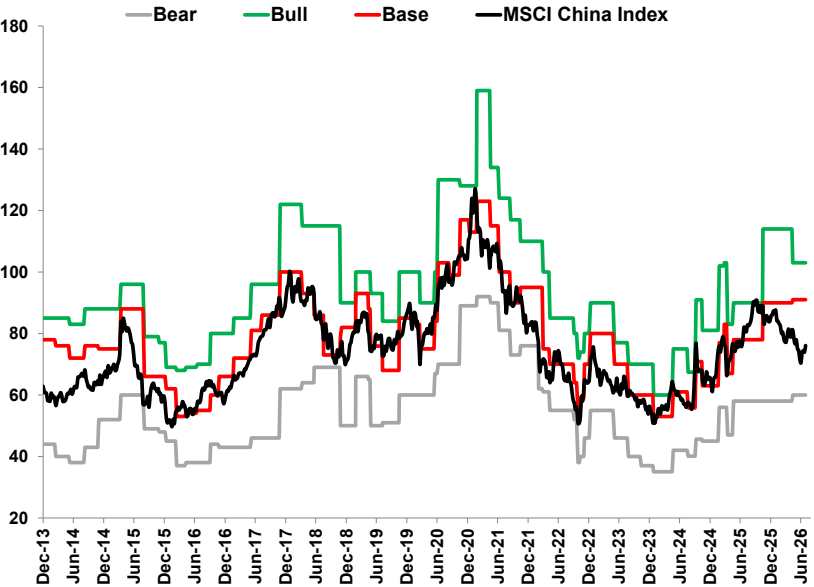
Asia/EM/China 2Q 2027 Index Targets – Wide Range Across Bull/Base/Bear Cases

	Index	Current Price	MS Target Price (Jun-2027)	MS Top-Down EPS YoY %			Consensus EPS Forecast YoY %			MS Target Fwd P/E Jun - 2027	Consensus 12m Fwd P/E Current
				Dec-26	Dec-27	Dec-28	Dec-26	Dec-27	Dec-28		
Base Case	TOPIX	3,953	4,300 9%	216 9%	235 9%	263 12%	231 13%	259 12%	288 11%	17.5x	15.9x
	MSCI EM	1,560	1,800 15%	125 40%	136 9%	141 4%	139 65%	173 24%	192 11%	13.0x	9.9x
	MSCI APxJ	813	900 11%	59 40%	64 8%	65 2%	66 66%	82 25%	91 11%	14.0x	10.8x
Base Case	Hang Seng	25,859	28,400 10%	2,254 7%	2,408 7%	2,557 6%	2,283 12%	2,509 10%	2,759 10%	11.4x	10.8x
	HSCEI	8,645	9,900 15%	939 5%	993 6%	1050 6%	921 5%	983 7%	1,055 7%	9.7x	9.6x
	MSCI China	76	91 19%	6.6 7%	7.2 10%	7.7 7%	6.4 13%	7.4 15%	8.4 13%	12.2x	10.9x
	CSI300	4,550	5,400 19%	315 10%	347 10%	378 9%	360 21%	419 16%	484 15%	14.8x	13.4x
Bull Case	TOPIX	3,953	4,900 24%	224 13%	255 14%	290 14%	231 13%	259 12%	288 11%	18.0x	15.9x
	MSCI EM	1,560	2,100 35%	135 50%	147 9%	154 5%	139 65%	173 24%	192 11%	14.0x	9.9x
	MSCI APxJ	813	1,080 33%	65 53%	72 10%	73 2%	66 66%	82 25%	91 11%	15.0x	10.8x
	Hang Seng	25,859	32,400 25%	2,299 8%	2,504 9%	2,675 7%	2,283 12%	2,509 10%	2,759 10%	12.5x	10.8x
	HSCEI	8,645	11,000 27%	958 6%	1,013 6%	1,079 7%	921 5%	983 7%	1,055 7%	10.6x	9.6x
	MSCI China	76	103 35%	6.7 8%	7.4 11%	8.0 8%	6.4 13%	7.4 15%	8.4 13%	13.3x	10.9x
	CSI300	4,550	6,090 34%	321 11%	361 12%	401 11%	360 21%	419 16%	484 15%	16.0x	13.4x
Bear Case	TOPIX	3,953	2,600 -34%	202 2%	209 4%	222 6%	231 13%	259 12%	288 11%	12.0x	15.9x
	MSCI EM	1,560	1,100 -29%	103 16%	101 -2%	99 -2%	139 65%	173 24%	192 11%	11.0x	9.9x
	MSCI APxJ	813	590 -27%	50 21%	51 2%	51 0%	66 66%	82 25%	91 11%	11.5x	12.9x
	Hang Seng	25,859	18,000 -30%	2,141 4%	2,239 5%	2,378 6%	2,283 12%	2,509 10%	2,759 10%	7.8x	10.8x
	HSCEI	8,645	6,200 -28%	892 3%	923 4%	945 2%	921 5%	983 7%	1055 7%	6.7x	9.6x
	MSCI China	76	60 -21%	6.1 3%	6.4 5%	6.7 5%	6.4 13%	7.4 15%	8.4 13%	9.1x	10.9x
	CSI300	4,550	3,550 -22%	304 7%	319 5%	333 4%	360 21%	419 16%	484 15%	10.9x	13.4x

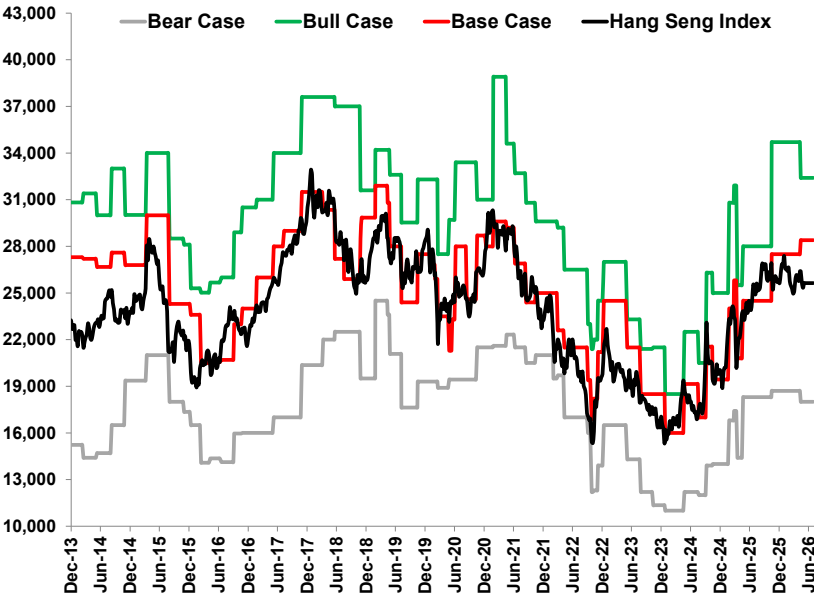
Source: MSCI, IBES, Bloomberg, FactSet, RIMES, Morgan Stanley Research estimates. Note: Data as of July 29, 2026.

Morgan Stanley Bull/Base/Bear Case Index Target History for MSCI China and the Hang Seng Index

MS target price history for MSCI China



MS target price history for Hang Seng



Source: RIMES, FactSet, Morgan Stanley Research forecasts. Note: Weekly price index data as of July 29, 2026.

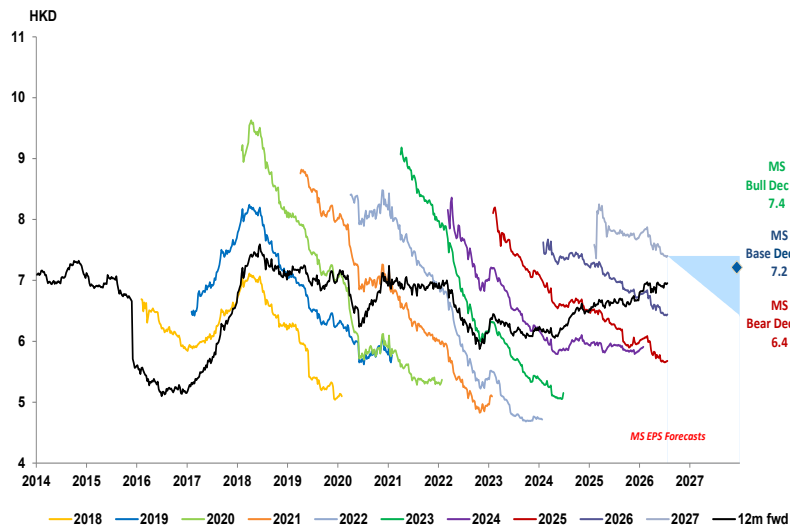
Assessing Morgan Stanley's China Framework – We See Brighter Spots in to Support HK Market in Near Term

	2018	2020 Post Covid-19	2H 2021	Dec-22	Aug-23	Feb-25	2025 Year End	2026 Mid Year
1 Economic/Earnings Estimates	x	✓	Neutral	XX	XX	x	x	Neutral
2 Valuation	x	✓	x	Neutral	Neutral	✓	Neutral	Neutral
3 Liquidity	x	✓	x	✓	x	✓	✓	Neutral
4 Policy Cycle	x	✓	x	✓✓	✓	✓	✓	✓
5 USDCNY trend	x	✓	Neutral	✓	x	XX	x	✓
6 US/China & geopolitical tension	x	Neutral/ Slightly negative	Neutral/ Slightly negative	Neutral/ Slightly negative	Neutral/ Slightly negative	x	Interim truce	Interim truce
7 Regulatory/Policy priority	x	Neutral	x	✓	XX	✓	✓	✓
	↓	↓	↓	↓	↓	↓	↓	↓
	Downgrade	Upgrade	Downgrade	Upgrade	Downgrade	Upgrade	PT increase	PT increase

Source: Morgan Stanley Research. Note: Tick indicates our view on the factor is improving, while x indicates the factor is deteriorating, and xx indicates a greater level of deterioration.

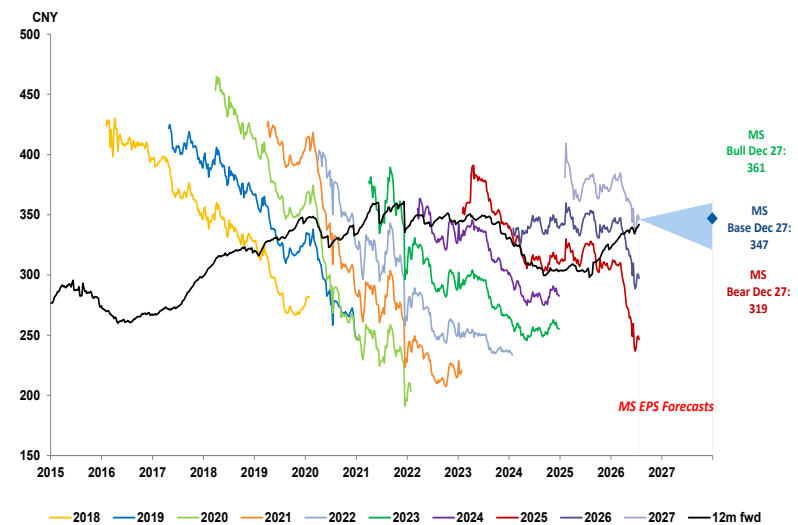
Consensus Earnings Estimates for MSCI China and CSI300 – We Expect Further Downward Revisions for 2026 EPS But at Decelerating Speed

MS EPS base-case forecasts for MSCI China at Dec-26 and Dec-27



Source: IBES, Datastream, Morgan Stanley Research. Note: Weekly data as of July 23, 2026.

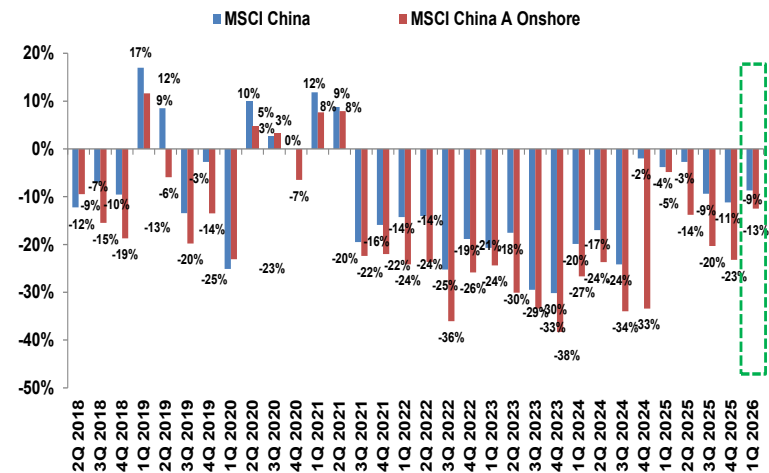
MS EPS base-case forecasts for CSI 300 at Dec-26 and Dec-27



Source: IBES, Datastream, Morgan Stanley Research. Note: Weekly data as of July 23, 2026.

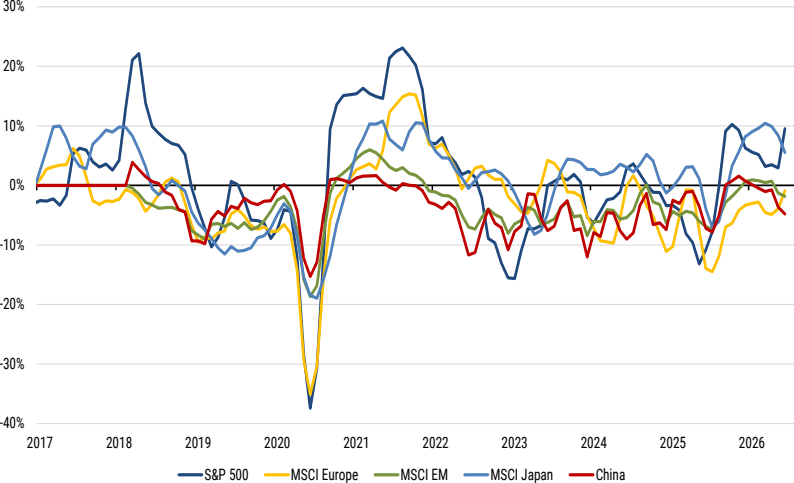
Downward Earnings Revision Pressure May Ease from 2Q26 as e-Commerce Price Competition Moderates

History of Chinese equity market quarterly earnings surprises by number of companies



Source: MSCI, Bloomberg, RIMES, Factset, Morgan Stanley Research. Data as of May 28, 2026.

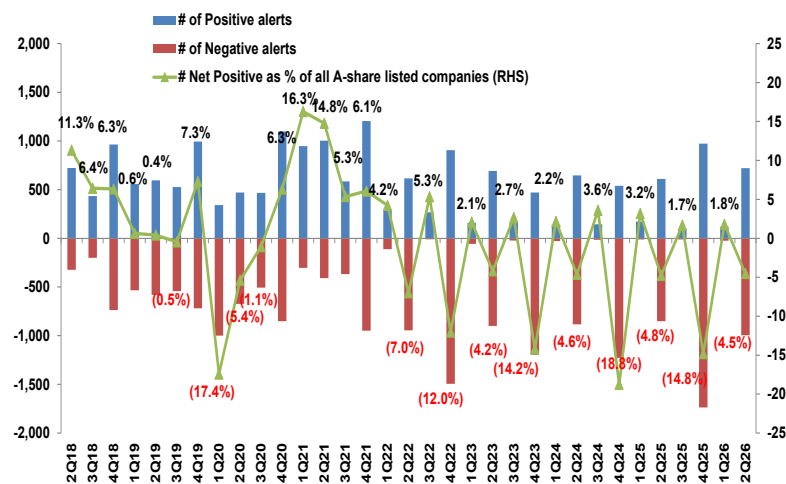
12-month forward consensus earnings estimate revision breadth (ERB, 3mma)



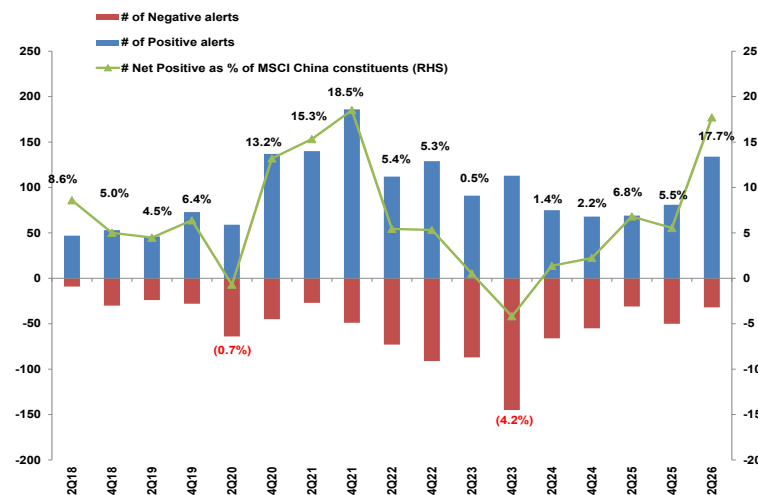
Source: Factset, Morgan Stanley Research. Note: Monthly data as of June 2026.

2Q26 Pre-announcements Indicate a Moderation in Earnings Pressure

A-share 2Q26 pre-announcements by number of companies



MSCI China 2Q26 pre-announcements by number of companies



Source: Wind, FactSet, Morgan Stanley Research. Data as of July 20, 2026.

Source: HKex, RIMES, Factset, Morgan Stanley Research. Data as of July 20, 2026.

MSCI China Consensus EPS Composition by Industry Group

MSCI China	Consensus EPS Contribution			EPS Growth			EPS Growth Contribution		
	2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E
Automobiles & Components	0.09	0.18	0.25	29%	91%	44%	0.4%	1.3%	1.1%
Banks	1.60	1.58	1.66	1%	-1%	5%	0.4%	-0.3%	1.0%
Capital Goods	0.15	0.23	0.27	-19%	53%	15%	-0.6%	1.2%	0.5%
Commercial & Professional Services	0.00	0.02	0.02	NM	NM	12%	0.0%	0.2%	0.0%
Consumer Durables & Apparel	0.10	0.12	0.13	22%	13%	10%	0.3%	0.2%	0.2%
Consumer Services	0.13	0.14	0.26	-55%	11%	81%	-2.8%	0.2%	1.6%
Diversified Financials	0.12	0.16	0.18	0%	35%	8%	0.0%	0.7%	0.2%
Energy	0.21	0.26	0.26	-13%	24%	0%	-0.5%	0.8%	0.0%
Consumer Staples Distribution & Retail	0.01	0.01	0.02	15%	4%	20%	0.0%	0.0%	0.0%
Food Beverage & Tobacco	0.10	0.12	0.14	-20%	15%	16%	-0.5%	0.2%	0.3%
Health Care Equipment & Services	0.03	0.02	0.02	-25%	-15%	11%	-0.1%	-0.1%	0.0%
Household & Personal Products	0.01	0.01	0.01	18%	9%	5%	0.0%	0.0%	0.0%
Insurance	0.69	0.63	0.68	28%	-9%	8%	2.7%	-0.9%	0.7%
Materials	0.19	0.40	0.43	23%	117%	7%	0.6%	3.4%	0.4%
Media & Entertainment	1.08	1.07	1.18	16%	0%	10%	2.6%	0.0%	1.4%
Pharmaceuticals, Biotechnology & Life Sciences	0.09	0.12	0.14	88%	33%	20%	0.7%	0.5%	0.3%
Real Estate	0.08	0.09	0.10	8%	14%	14%	0.1%	0.2%	0.2%
Consumer Discretionary Distribution & Retail	0.59	0.76	1.01	-40%	29%	33%	-6.9%	2.6%	3.4%
Semiconductors & Semiconductor Equipment	(0.01)	0.02	0.04	54%	NM	89%	0.2%	0.5%	0.3%
Software & Services	(0.01)	(0.01)	0.00	-27%	NM	136%	0.0%	0.0%	0.1%
Technology Hardware & Equipment	0.17	0.24	0.33	18%	42%	36%	0.5%	1.1%	1.2%
Telecommunication Services	0.02	0.02	0.02	9%	27%	7%	0.0%	0.1%	0.0%
Transportation	0.09	0.10	0.11	-29%	11%	5%	-0.7%	0.2%	0.1%
Utilities	0.15	0.14	0.14	3%	-7%	6%	0.1%	-0.2%	0.1%
MSCI China	5.7	6.4	7.4	-4%	13%	15%	-4%	13%	15%

Source: IBES, MSCI, FactSet, Datastream, Morgan Stanley Research. Note: Data as July 29, 2026.

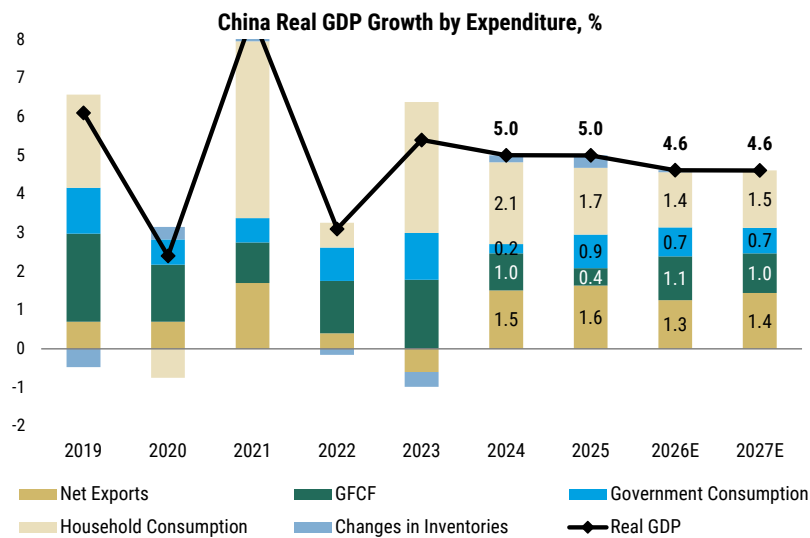
MSCI China Index Level Earnings Growth Forecasts by Industry Based on MS Bottom-up Estimates

MSCI China Sectors		Index weight*		
EPS Growth Decomposition		2025E	2026E	2027E
Consumer Discretionary	23%	(28%)	3%	43%
Consumer Staples	2%	(1%)	25%	9%
Information Technology	8%	20%	20%	36%
Health Care	4%	46%	22%	1%
Communication Services	19%	8%	9%	15%
Utilities	1%	8%	(7%)	2%
Real Estate	1%	(41%)	28%	15%
Financials	19%	8%	(2%)	7%
Energy	3%	(13%)	31%	8%
Materials	4%	29%	79%	4%
Industrials	4%	0%	4%	15%
MS bottom up forecasts of EPS growth for MSCI China		(1%)	7%	16%
MS top down forecasts of EPS growth for MSCI China		5%	7%	10%
Consensus EPS growth for MSCI China		(4%)	13%	15%

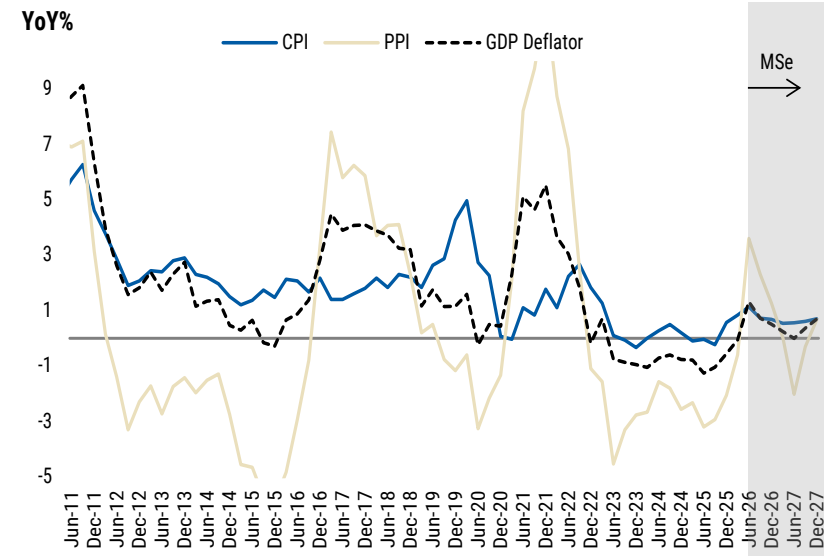
Source: FactSet, Datastream, ModelWare, Morgan Stanley Research. Note: Data as of July 29, 2026. *Only index weight of Morgan Stanley Research-covered stocks that are MSCI China constituents are counted. Hence it may not sum to 100% due to coverage.

K-shaped Economy Continues as Export and Tech/High-end Manufacturing Accelerate While Consumption and Real Estate Sectors Stagnate

Exports driving growth amid AI and energy capex super-cycle



Inflation is rising but reflation is narrow

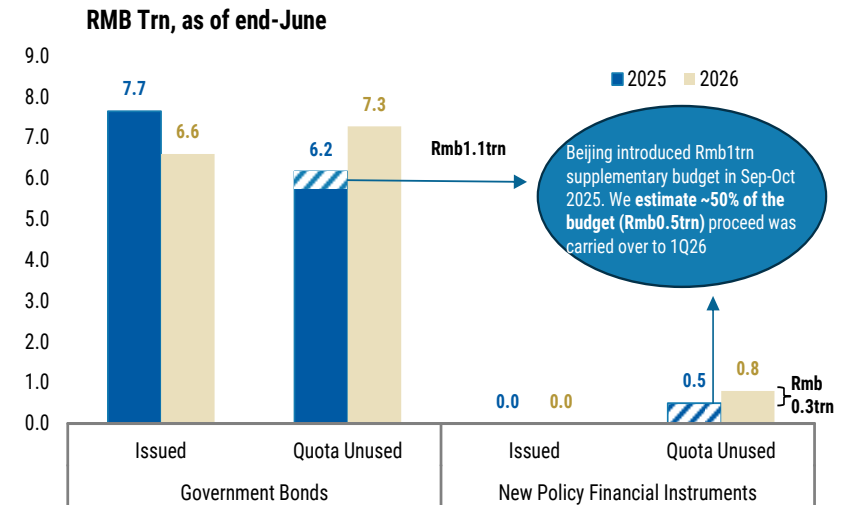
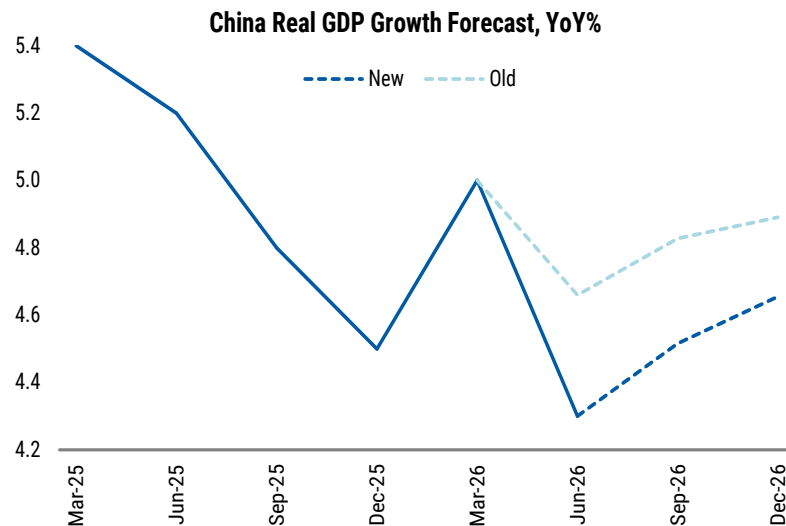


Source: CEIC, Morgan Stanley Research estimates.

Policy to Stay on Cruise Control Given Resilient Organic Growth and Export Strength; July and August Critical to Gauge Whether Fiscal Step-up Is Needed

1H GDP was within target, while 2H growth will be anchored by AI- and export-led industrial activities

~Rmb2trn of unused in-budget fiscal and quasi-fiscal impulse for the second half of the year

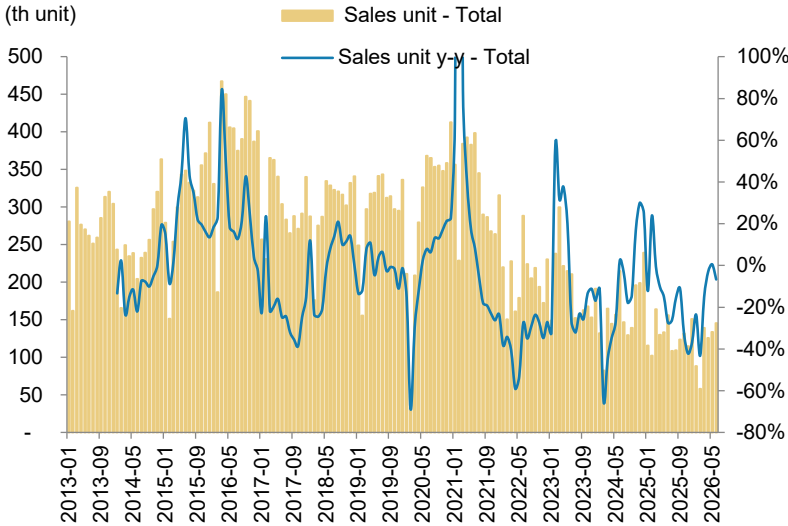


July and August will provide an important test of both the economy and policy delivery. If activity and policy implementation still fail to improve by September, the likelihood of additional easing should rise.

Source: CEIC, Morgan Stanley Research estimates.

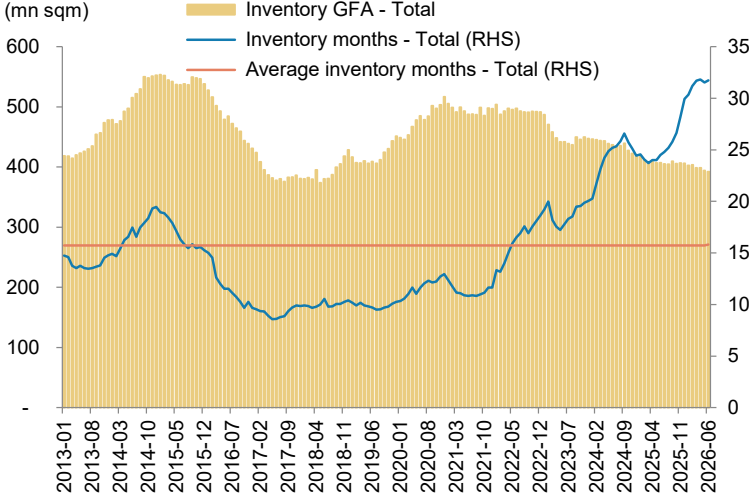
Primary Housing Inventory Level Stays Elevated

Monthly primary housing sales



Source: CREIS, Morgan Stanley Research. Note: Monthly data as of end-June 2026.

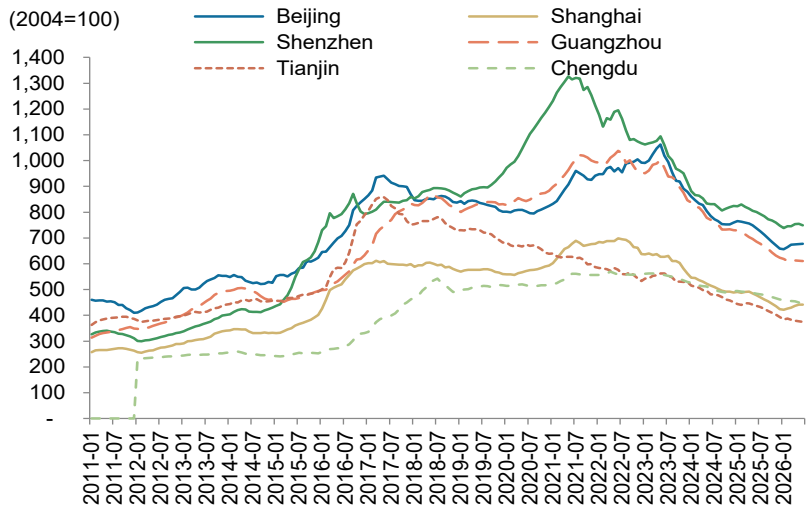
Housing inventory among 70 cities



Source: CREIS, Morgan Stanley Research. Note: Monthly data as of end-June 2026.

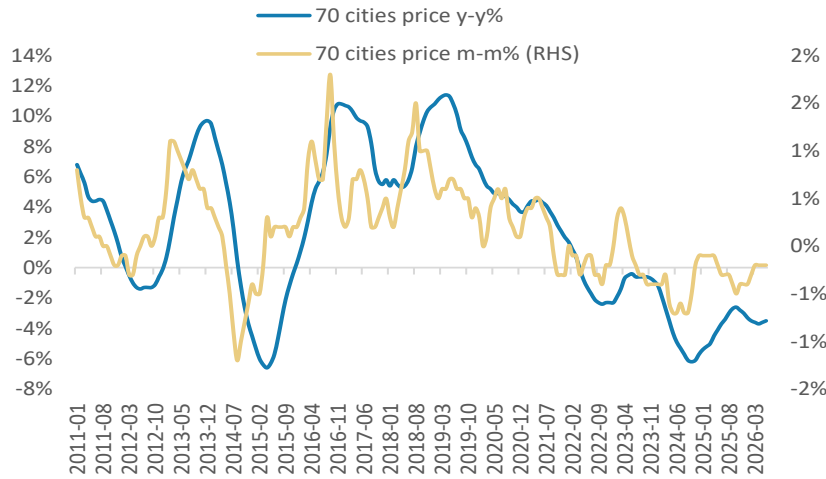
Recovery Emerging in Secondary Property Prices Across Select Tier 1 Cities, while the National Market Continues to Lag

Beijing, Shanghai and Shenzhen secondary property prices showing signs of recovery since Feb-26



Source: CREIS, Morgan Stanley Research. Note: Monthly data as of end-June 2026.

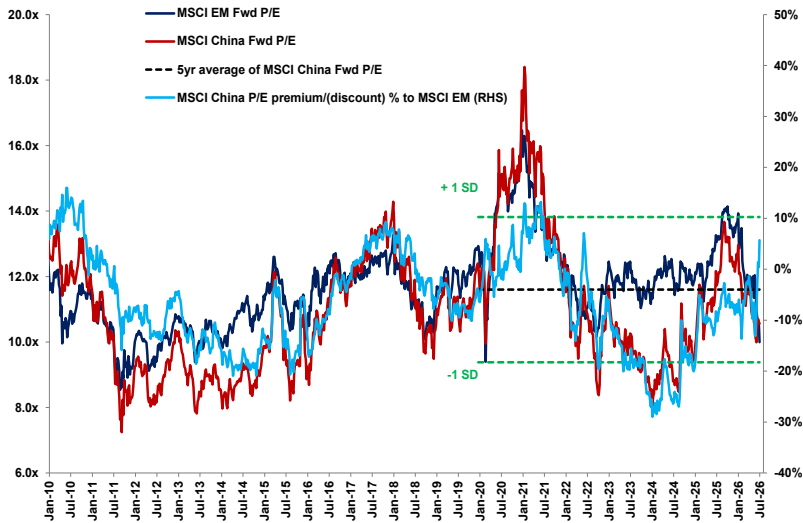
While 70 cities prices recover at a slower pace



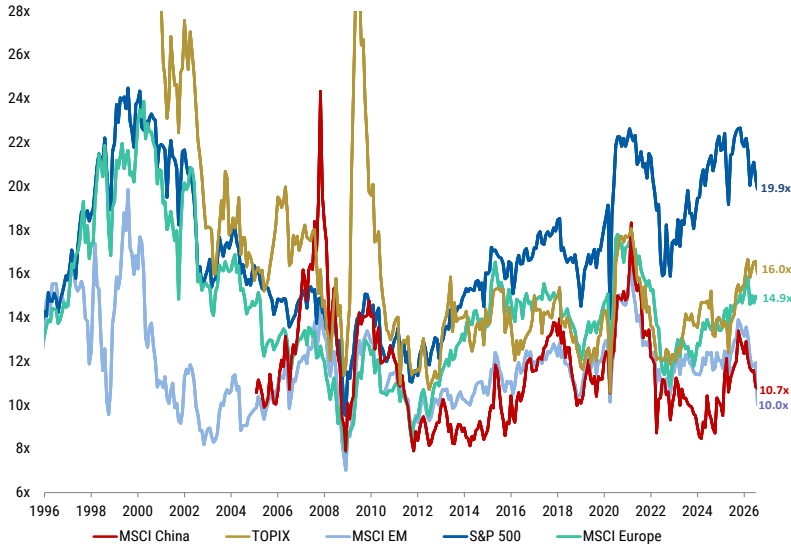
Source: CREIS, Morgan Stanley Research. Note: Monthly data as of end-June 2026.

MSCI China Trades at 10.7x 12-month Forward P/E, ~7% Premium vs. MSCI EM

MSCI China Fwd P/E vs. MSCI EM Fwd P/E

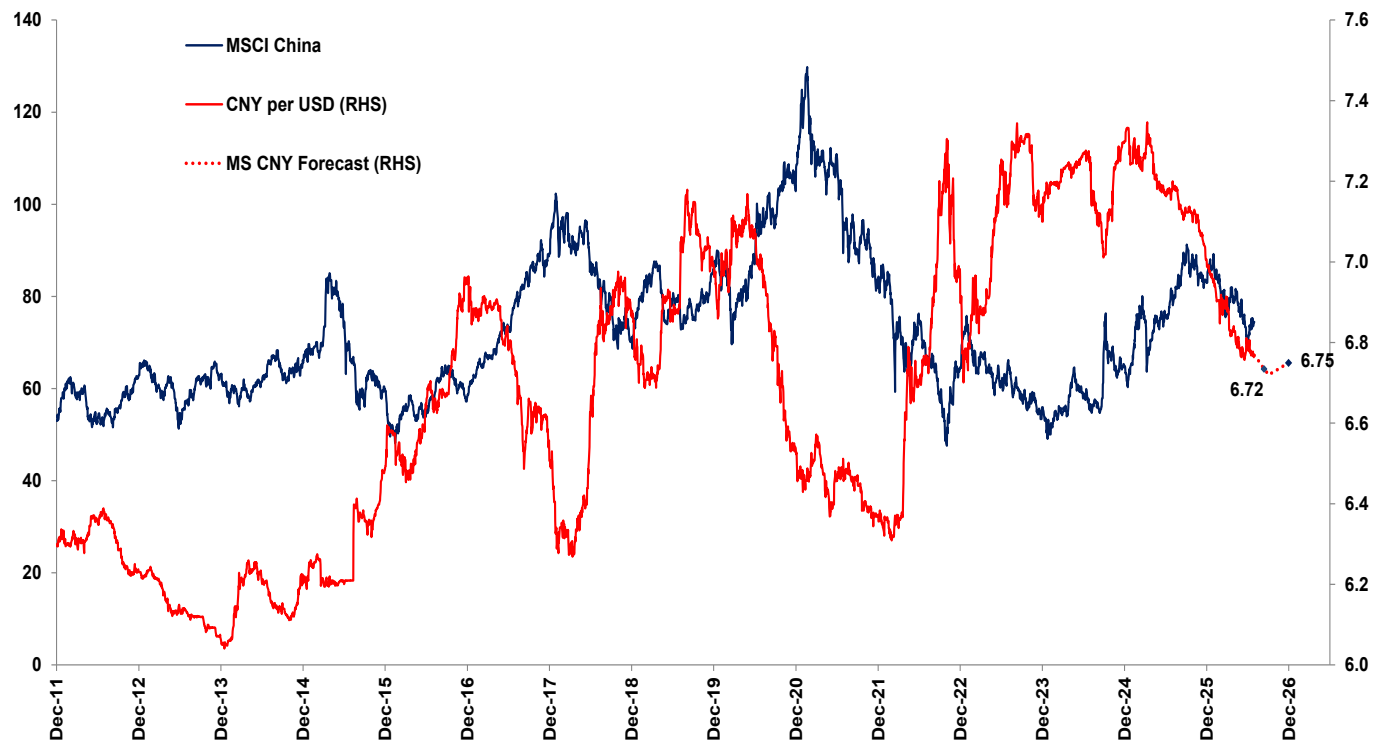


MSCI China still trades at discounts to other major global equity markets



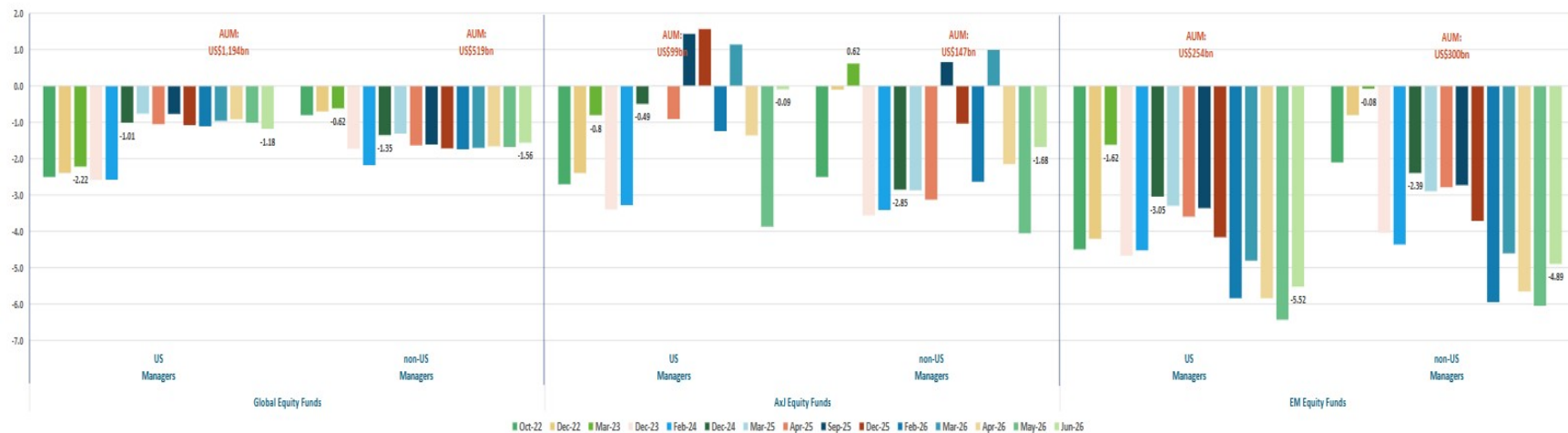
Source: Datastream, MSCI, Morgan Stanley Research. Note: Data as of July 28, 2026.

MSCI China vs. USDCNY – We See Mild But Limited Appreciation Room from Here



Source: CEIC, Morgan Stanley Research. Data as of July 29, 2026. MS China Economics team expects USDCNY to reach 6.72 and 6.75 by 3Q26 and 2026, respectively.

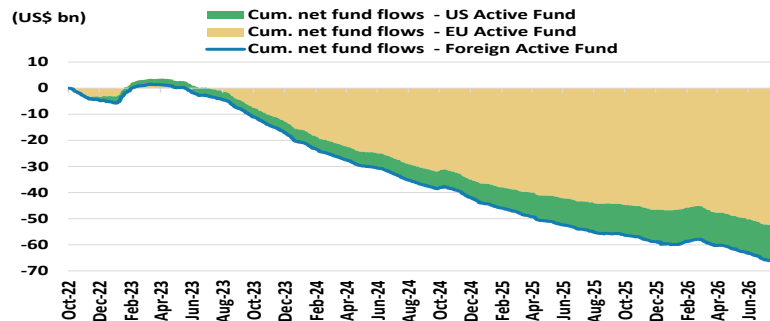
Active Weights of China/HK Equities by Regional Fund Category and Manager Domicile – Global and EM Managers Remained Heavily UW, Suggesting Room to Add



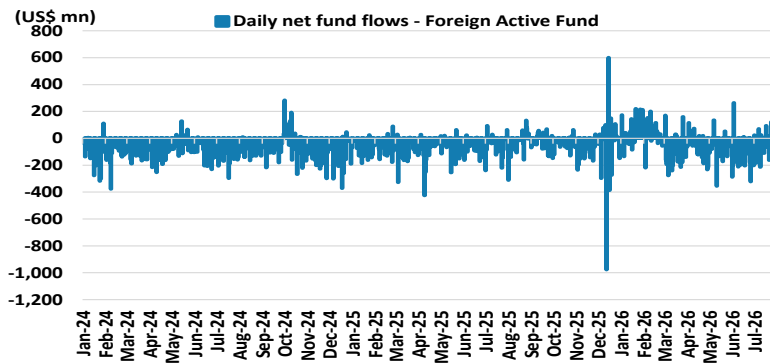
Source: Morningstar, FactSet, EPFR, Morgan Stanley Research; Note: Data refreshed as of June 30, 2026, most funds have disclosed data up to May 31. Fund universe of each category is formed by the largest 30 active mutual funds under Morningstar regional category. Funds under "non-US Managers" are mostly domiciled in Europe. We exclude ESG funds, Income funds, and Systematic funds. All the covered funds are benchmarking to either MSCI or FTSE standard regional indices of All Country World, Asia ex Japan, or Emerging Markets. The EPFR data and charts displayed here must not be extracted and republished (whether internally or externally). Such use will violate the terms of Morgan Stanley's contract with EPFR which only covers named users.

Foreign Mutual Fund 2026 YTD Inflows Around 50% of Full-year 2025 Level, Still Largely Driven by Passive Funds

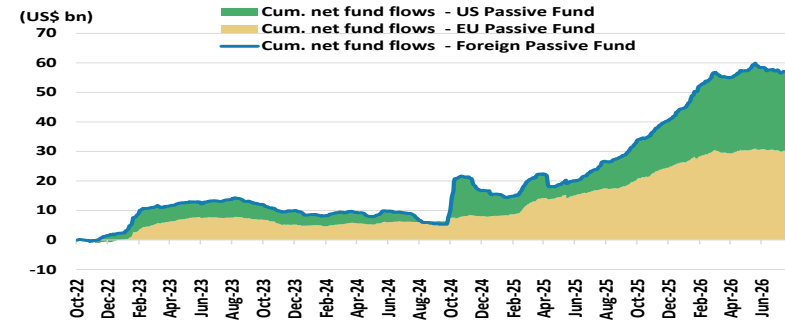
Daily cumulative fund flows – Foreign active funds



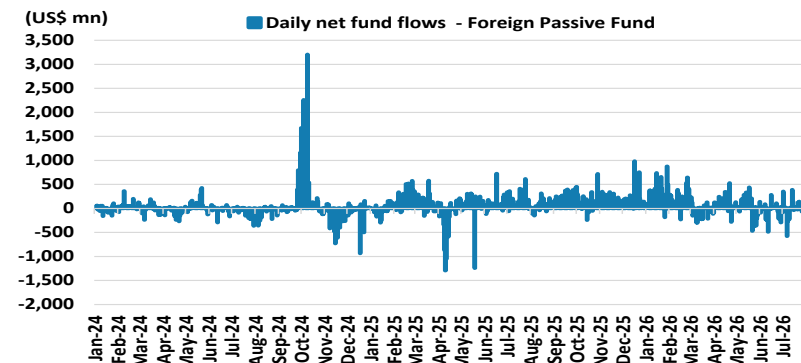
Daily net fund flows – Foreign active funds



Daily cumulative fund flows – Foreign passive funds



Daily net fund flows – Foreign passive funds



Source: EPFR, Morgan Stanley Research. Note: Data as of July 27, 2026.

EM and China Active Managers' Active Exposure in China/HK Equities by GICS Industry Group

GICS Industry Group	MSCI China Index Weights	International & US Funds			International Funds - UCITS			US Funds		
		Portfolio Composite Weights	Active Weights	Active Weights Changes vs. last month	Portfolio Composite Weights	Active Weights	Active Weights Changes vs. last month	Portfolio Composite Weights	Active Weights	Active Weights Changes vs. last month
Capital Goods	3.8%	14.1%	10.3%	0.5%	14.7%	10.9%	0.3%	13.4%	9.6%	0.9%
Semiconductors & Semiconductor Equipment	2.3%	6.5%	4.2%	2.3%	7.9%	5.5%	3.0%	5.0%	2.7%	1.6%
Insurance	4.9%	7.8%	2.9%	-0.7%	6.9%	2.0%	-0.7%	8.8%	3.9%	-0.8%
Consumer Durables & Apparel	1.7%	3.4%	1.7%	-0.2%	3.8%	2.2%	-0.2%	2.8%	1.1%	-0.2%
Food Beverage & Tobacco	2.6%	3.1%	0.5%	-0.3%	3.3%	0.7%	-0.2%	2.9%	0.3%	-0.4%
Commercial & Professional Services	0.2%	0.6%	0.4%	0.0%	0.8%	0.6%	0.0%	0.4%	0.2%	0.0%
Health Care Equipment & Services	0.4%	0.6%	0.3%	-0.1%	0.7%	0.3%	0.0%	0.6%	0.2%	-0.1%
Household & Personal Products	0.1%	0.2%	0.0%	0.0%	0.2%	0.0%	0.0%	0.2%	0.0%	0.0%
Transportation	1.4%	1.5%	0.0%	-0.2%	1.7%	0.3%	-0.1%	1.2%	-0.3%	-0.2%
Real Estate Management & Development	1.5%	1.5%	-0.1%	-0.2%	1.9%	0.3%	-0.2%	1.0%	-0.5%	-0.1%
Pharmaceuticals Biotechnology & Life Sciences	4.6%	4.5%	-0.1%	0.2%	4.2%	-0.4%	0.0%	4.9%	0.3%	0.3%
Telecommunication Services	0.3%	0.2%	-0.1%	0.0%	0.2%	0.0%	0.0%	0.1%	-0.2%	0.0%
Consumer Staples Distribution & Retail	0.4%	0.2%	-0.1%	0.0%	0.3%	0.0%	-0.1%	0.1%	-0.2%	0.0%
Materials	5.6%	5.3%	-0.3%	-0.3%	4.9%	-0.6%	-0.6%	5.8%	0.2%	0.1%
Financial Services	1.9%	1.5%	-0.4%	0.0%	1.9%	0.0%	-0.1%	1.1%	-0.8%	0.1%
Media & Entertainment	18.4%	17.9%	-0.4%	0.7%	15.3%	-3.0%	0.7%	20.9%	2.6%	0.7%
Technology Hardware & Equipment	6.2%	5.4%	-0.8%	0.9%	6.3%	0.1%	1.0%	4.5%	-1.7%	0.7%
Software & Services	1.1%	0.3%	-0.9%	0.0%	0.3%	-0.9%	-0.1%	0.3%	-0.9%	0.2%
Consumer Services	4.9%	3.6%	-1.3%	-0.3%	3.8%	-1.1%	-0.3%	3.4%	-1.5%	-0.3%
Utilities	1.9%	0.6%	-1.3%	0.0%	0.5%	-1.4%	0.0%	0.6%	-1.3%	-0.1%
Automobiles & Components	4.8%	3.3%	-1.5%	0.0%	3.1%	-1.7%	-0.2%	3.5%	-1.4%	0.2%
Energy	3.6%	1.2%	-2.3%	-0.2%	1.0%	-2.5%	-0.2%	1.5%	-2.1%	-0.2%
Consumer Discretionary Distribution & Retail	15.0%	9.7%	-5.3%	-1.8%	9.1%	-5.9%	-1.7%	10.3%	-4.7%	-1.9%
Banks	12.4%	6.8%	-5.5%	-0.2%	7.0%	-5.3%	0.1%	6.6%	-5.7%	-0.6%

Source: FactSet, MorningStar, EPFR, Morgan Stanley Research. Note: Data as of June 30, 2026, most funds have disclosed data up to May 31.

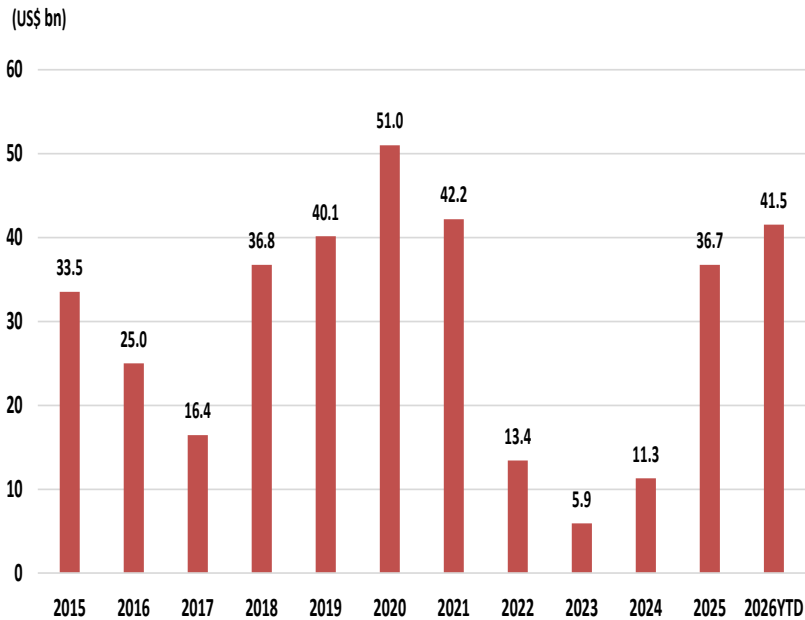
Top 50 China/HK Holdings Among Long-only EM and China Active Managers

			International & US Funds				International Funds - UCITS				US Funds		
Ticker	Company Name	GICS Industry Group	Portfolio Composite Weights	MSCI China Index Weights	Active Weights	Active Wgt. Changes QTD	Portfolio Composite Weights	Active Weights	Active Wgt. Changes QTD	Portfolio Composite Weights	Active Weights	Active Wgt. Changes QTD	
700-HK	Tencent Holdings	Media & Entertainment	14.3%	13.4%	0.9%	1.6%	11.5%	-1.9%	1.8%	17.5%	4.1%	1.4%	
9988-HK	Alibaba Group Holding	Consumer Discretionary Distribution & Retail	7.6%	10.2%	-2.6%	-2.0%	6.7%	-3.4%	-1.9%	8.5%	-1.6%	-2.1%	
300750-CN	Contemporary Amperex Technology	Capital Goods	5.0%	1.3%	3.7%	0.1%	4.8%	3.5%	-0.1%	5.2%	3.9%	0.4%	
939-HK	China Construction Bank	Banks	3.1%	4.1%	-1.0%	-0.3%	2.4%	-1.6%	-0.1%	3.9%	-0.2%	-0.5%	
2318-HK	Ping An Insurance Group	Insurance	2.8%	2.2%	0.7%	-0.5%	3.0%	0.9%	-0.4%	2.6%	0.5%	-0.7%	
1299-HK	AIA Group	Insurance	2.6%	0.0%	2.6%	-0.2%	2.2%	2.2%	-0.2%	3.1%	3.1%	-0.2%	
9999-HK	NetEase	Media & Entertainment	2.3%	1.7%	0.6%	0.4%	2.6%	0.9%	0.3%	2.0%	0.3%	0.4%	
688008-CN	Montage Technology	Semiconductors & Semiconductor Equipment	2.0%	0.1%	1.9%	1.0%	2.0%	1.9%	1.1%	1.9%	1.8%	0.5%	
3968-HK	China Merchants Bank	Banks	1.7%	1.2%	0.5%	0.0%	2.1%	0.9%	-0.1%	1.2%	0.1%	0.0%	
2899-HK	Zijin Mining Group	Materials	1.7%	1.2%	0.5%	-0.1%	1.3%	0.1%	-0.1%	2.2%	1.0%	-0.1%	
688012-CN	Advanced Micro-Fabrication Equipment	Semiconductors & Semiconductor Equipment	1.5%	0.1%	1.4%	0.8%	1.5%	1.4%	0.8%	1.5%	1.4%	0.8%	
2359-HK	WuXi AppTec	Pharmaceuticals Biotechnology & Life Sciences	1.4%	0.3%	1.1%	0.3%	0.8%	0.5%	0.2%	2.0%	1.7%	0.4%	
000333-CN	Midea Group	Consumer Durables & Apparel	1.3%	0.3%	1.0%	-0.1%	1.3%	1.0%	0.0%	1.3%	1.0%	-0.1%	
1211-HK	BYD	Automobiles & Components	1.3%	1.8%	-0.6%	0.2%	0.6%	-1.2%	0.3%	2.0%	0.1%	0.1%	
HTHT-US	H World Group	Consumer Services	1.1%	0.3%	0.8%	-0.2%	1.0%	0.6%	0.0%	1.3%	1.0%	-0.3%	
PDD-US	PDD Holdings	Consumer Discretionary Distribution & Retail	1.1%	2.3%	-1.2%	-0.1%	1.3%	-1.0%	0.0%	0.9%	-1.4%	-0.1%	
300308-CN	Zhongji Innolight	Technology Hardware & Equipment	1.1%	0.4%	0.7%	0.3%	1.3%	0.8%	0.5%	0.9%	0.4%	0.2%	
002371-CN	NAURA Technology Group	Semiconductors & Semiconductor Equipment	1.1%	0.2%	0.9%	0.4%	1.2%	1.0%	0.6%	0.9%	0.8%	0.2%	
600519-CN	Kweichow Moutai	Food Beverage & Tobacco	1.0%	0.6%	0.5%	-0.1%	1.2%	0.6%	-0.1%	0.9%	0.3%	-0.2%	
002028-CN	Sieyuan Electric	Capital Goods	1.0%	0.0%	1.0%	-0.1%	0.9%	0.9%	0.0%	1.2%	1.2%	-0.2%	
2628-HK	China Life Insurance	Insurance	0.9%	1.1%	-0.2%	0.0%	0.4%	-0.7%	-0.1%	1.4%	0.3%	0.1%	
2328-HK	PICC Property & Casualty	Insurance	0.8%	0.5%	0.3%	0.1%	0.6%	0.1%	0.1%	1.1%	0.6%	0.2%	
2338-HK	Weichai Power	Capital Goods	0.7%	0.5%	0.3%	-0.1%	0.6%	0.2%	-0.1%	0.9%	0.4%	-0.2%	
992-HK	Lenovo Group	Technology Hardware & Equipment	0.7%	0.9%	-0.2%	-0.3%	0.4%	-0.6%	-0.4%	1.1%	0.2%	-0.2%	
1398-HK	Industrial and Commercial Bank of China	Banks	0.7%	2.3%	-1.5%	0.0%	1.0%	-1.3%	-0.1%	0.5%	-1.8%	0.1%	
600660-CN	Fuyao Glass Industry Grp	Automobiles & Components	0.7%	0.2%	0.5%	0.0%	0.8%	0.6%	-0.1%	0.6%	0.4%	0.1%	
9888-HK	Baidu	Media & Entertainment	0.7%	1.4%	-0.7%	-0.3%	0.8%	-0.6%	-0.1%	0.6%	-0.8%	-0.4%	
669-HK	Techtronic Industries	Capital Goods	0.7%	0.0%	0.7%	0.1%	0.6%	0.6%	0.0%	0.8%	0.8%	0.2%	
388-HK	Hong Kong Exchanges & Clearing	Financial Services	0.6%	0.0%	0.6%	0.0%	0.7%	0.7%	0.0%	0.6%	0.6%	0.0%	
600031-CN	Sany Heavy Industry	Capital Goods	0.6%	0.1%	0.6%	0.0%	0.5%	0.4%	0.0%	0.8%	0.7%	0.0%	
9961-HK	Trip.com Group	Consumer Services	0.6%	1.1%	-0.5%	-0.1%	0.8%	-0.3%	-0.2%	0.4%	-0.7%	0.0%	
857-HK	PetroChina	Energy	0.6%	1.2%	-0.6%	-0.1%	0.5%	-0.7%	-0.2%	0.7%	-0.5%	0.1%	
3690-HK	Meituan	Consumer Services	0.6%	1.8%	-1.2%	-0.1%	0.6%	-1.2%	0.1%	0.5%	-1.3%	-0.3%	
6160-HK	BeOne Medicines	Pharmaceuticals Biotechnology & Life Sciences	0.6%	0.7%	-0.2%	0.1%	0.5%	-0.3%	0.1%	0.7%	-0.1%	0.2%	
2020-HK	ANTA Sports Products	Consumer Durables & Apparel	0.6%	0.5%	0.1%	0.0%	0.7%	0.2%	0.0%	0.4%	-0.1%	0.1%	
YMM-US	Full Truck Allin	Transportation	0.6%	0.0%	0.6%	-0.1%	0.6%	0.6%	0.0%	0.5%	0.5%	-0.1%	
3692-HK	Hansoh Pharmaceutical Group	Pharmaceuticals Biotechnology & Life Sciences	0.6%	0.2%	0.3%	-0.1%	0.3%	0.0%	-0.1%	0.9%	0.6%	-0.2%	
600276-CN	Jiangsu Hengrui Pharmaceuticals	Pharmaceuticals Biotechnology & Life Sciences	0.6%	0.1%	0.4%	0.1%	0.7%	0.6%	0.1%	0.4%	0.2%	0.1%	
1109-HK	China Resources Land	Real Estate Management & Development	0.5%	0.6%	0.0%	-0.1%	0.6%	0.1%	0.0%	0.4%	-0.1%	-0.1%	
002463-CN	Wus Printed Circuit	Technology Hardware & Equipment	0.5%	0.1%	0.4%	0.2%	0.7%	0.6%	0.2%	0.3%	0.3%	0.1%	
600690-CN	Haier Smart Home	Consumer Durables & Apparel	0.5%	0.3%	0.2%	0.0%	0.5%	0.2%	0.0%	0.6%	0.3%	0.0%	
600176-CN	Cn Jushi	Materials	0.5%	0.1%	0.4%	0.2%	0.5%	0.5%	0.2%	0.4%	0.4%	0.2%	
9618-HK	JD.com	Consumer Discretionary Distribution & Retail	0.5%	1.3%	-0.8%	0.1%	0.4%	-0.9%	0.1%	0.6%	-0.7%	0.1%	
688019-CN	Anji Microelectronics	Semiconductors & Semiconductor Equipment	0.5%	0.0%	0.4%	0.2%	0.6%	0.6%	0.2%	0.3%	0.3%	0.1%	
BZ-US	Kanzhun	Commercial & Professional Services	0.4%	0.2%	0.3%	0.0%	0.5%	0.3%	0.0%	0.4%	0.2%	0.0%	
300274-CN	Sungrow Power Supply	Capital Goods	0.4%	0.1%	0.3%	0.1%	0.7%	0.6%	0.2%	0.1%	-0.1%	-0.1%	
1810-HK	Xiaomi	Technology Hardware & Equipment	0.4%	2.4%	-2.0%	0.1%	0.5%	-1.9%	#N/A	0.3%	-2.1%	0.1%	
291-HK	China Resources Beer (Holdings)	Food Beverage & Tobacco	0.4%	0.2%	0.2%	0.0%	0.2%	0.0%	0.0%	0.5%	0.3%	-0.1%	
601600-CN	Aluminum Corp of China	Materials	0.4%	0.3%	0.1%	0.3%	0.1%	-0.2%	0.0%	0.7%	0.4%	0.7%	
600885-CN	Hongfa Technology	Capital Goods	0.3%	0.0%	0.3%	0.1%	0.5%	0.5%	0.1%	0.2%	0.2%	0.1%	

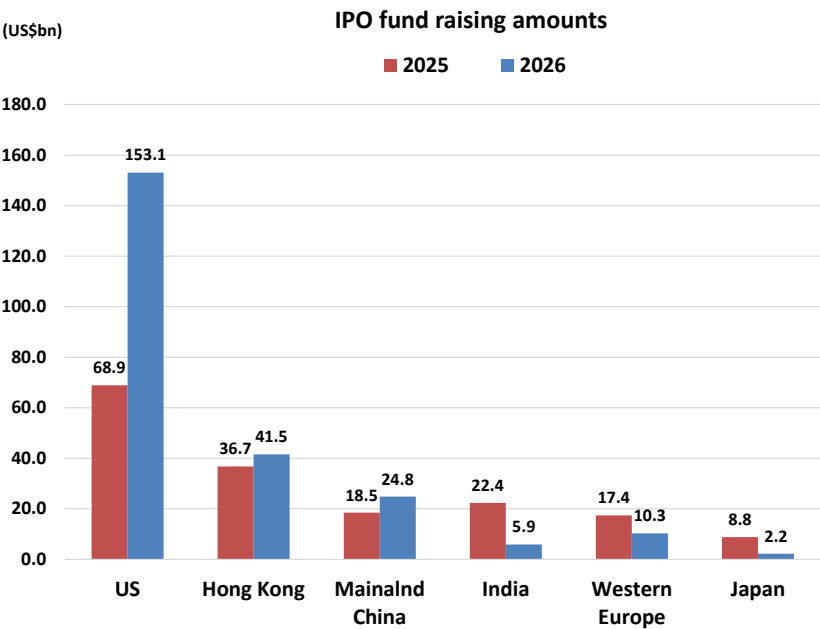
Source: FactSet, MorningStar, EPFR, Morgan Stanley Research. Note: Data as of June 30, 2026, most funds have disclosed data up to May 31.

Hong Kong IPO Fund-raising Hit US\$37bn and US\$42bn in 2025 and 2026 YTD, Respectively, Making Hong Kong One of the Most-active IPO Markets Globally

Historical IPO USD amount in Hong Kong by year



2025-26 YTD IPO fund raising by market

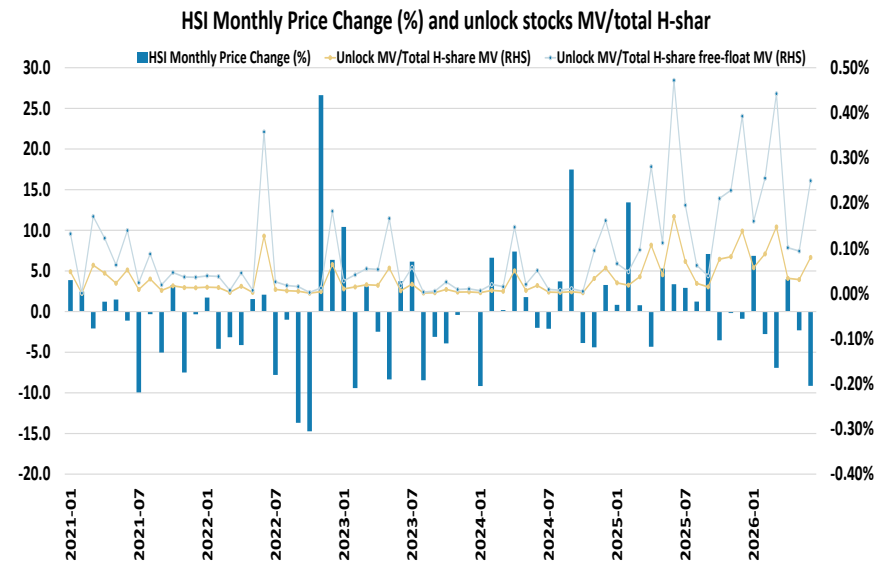
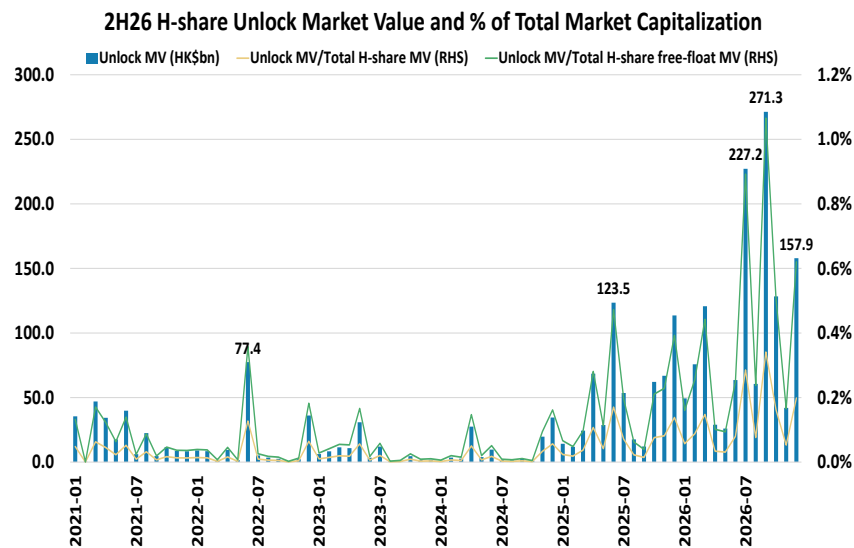


Source: Wind, Bloomberg, Morgan Stanley Research. Data as of July 30, 2026.

July and September Share Unlockings as Short-term Liquidity Events, Likely with Limited Index Impact

September and July 2026 rank no. 1 and no. 2 in the past five years

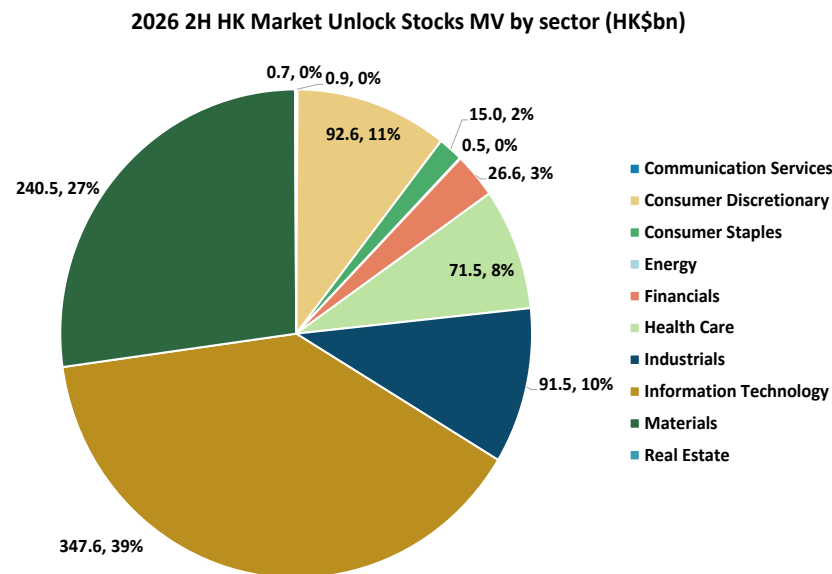
Large unlocking months have not consistently coincided with weak market performance



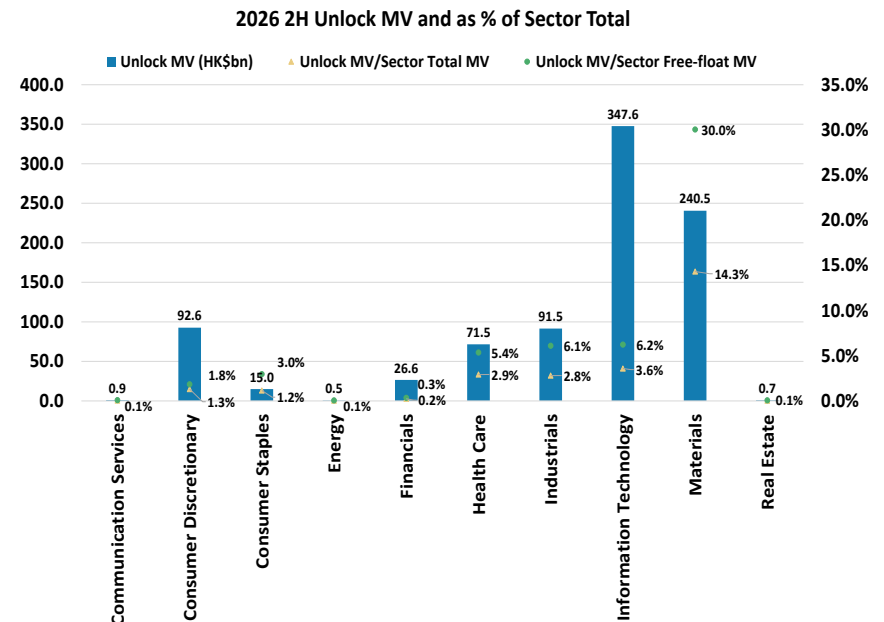
Source: Wind, Morgan Stanley Research. Note: Data as of July 10, 2026. Monthly unlocked market value as a percentage of total H-share market capitalization and free-float market capitalization is calculated using market capitalization as of the prior month-end.

July and September Share Unlockings as Short-term Liquidity Events, Likely with Limited Index Impact

IT and Materials are the top two sectors in 2H26 HK market value unlocking



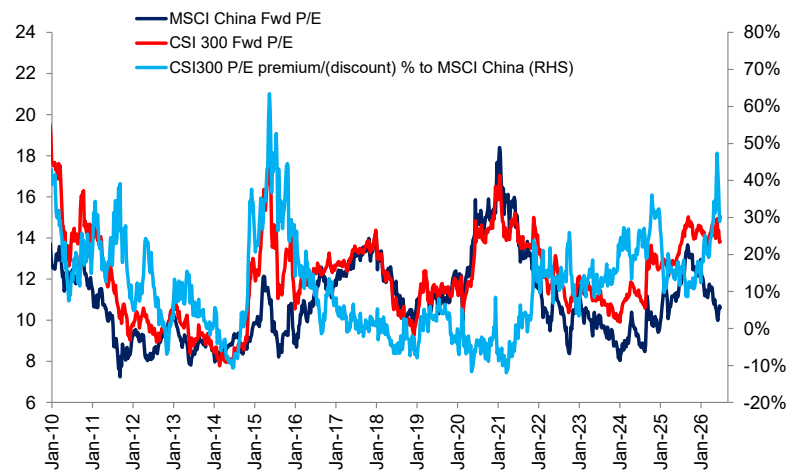
IT and Materials top the ranking by absolute and relative (to market cap) sizes



Source: Wind, Morgan Stanley Research. Note: Data as of July 10, 2026. Monthly unlocked market value as a percentage of total H-share market capitalization and free-float market capitalization is calculated using market capitalization as of the prior month-end.

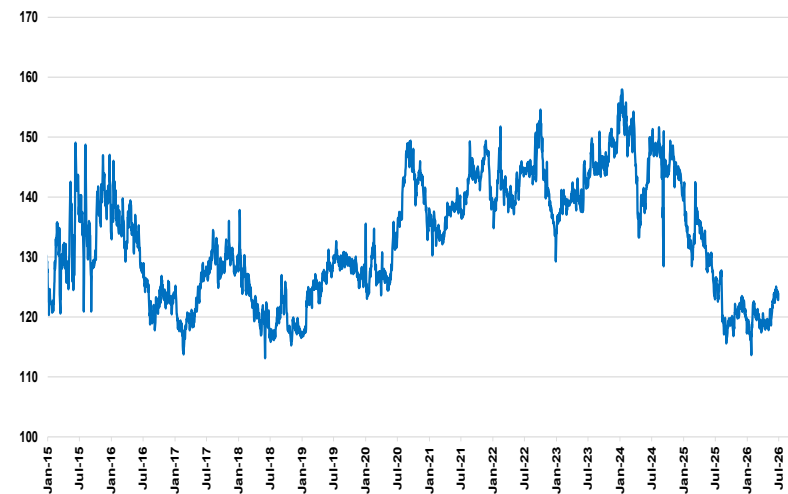
CSI 300 Trades at 13.7x with ~30% Valuation Premium to MSCI China

Valuation of CSI300 absolute and relative to MSCI China



Source: Datastream, Morgan Stanley Research. Weekly data as of July 28, 2026.

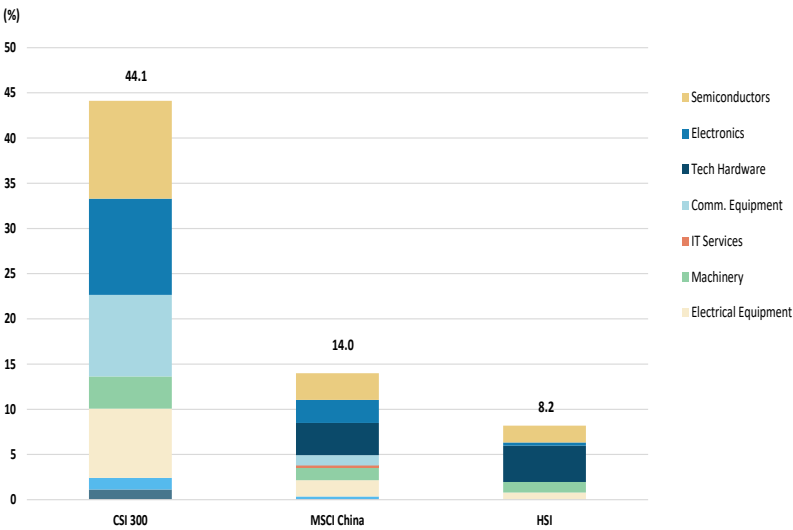
Hang Seng A-H Premium index



Source: Factset, Morgan Stanley Research. Data as of July 28, 2026

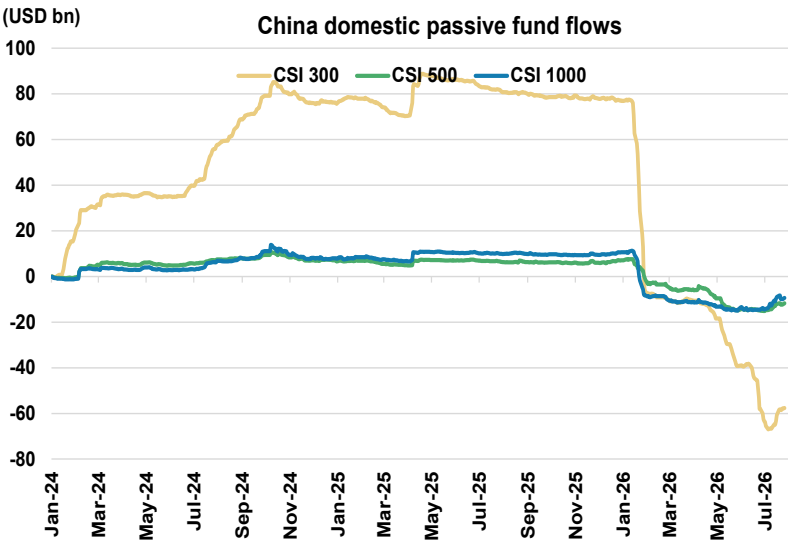
A-share Market’s High Exposure to High-end Upstream and Deep Tech Space Has Led to Higher Correlation with the Global Market This Cycle; National Team Has Started to Buy with Deep Pockets

Bigger concentration in high-end manufacturing and hard-tech companies in A-shares



Source: Datastream, Morgan Stanley Research. Data as of June 2026.

National team support resumed in July amid global AI correction



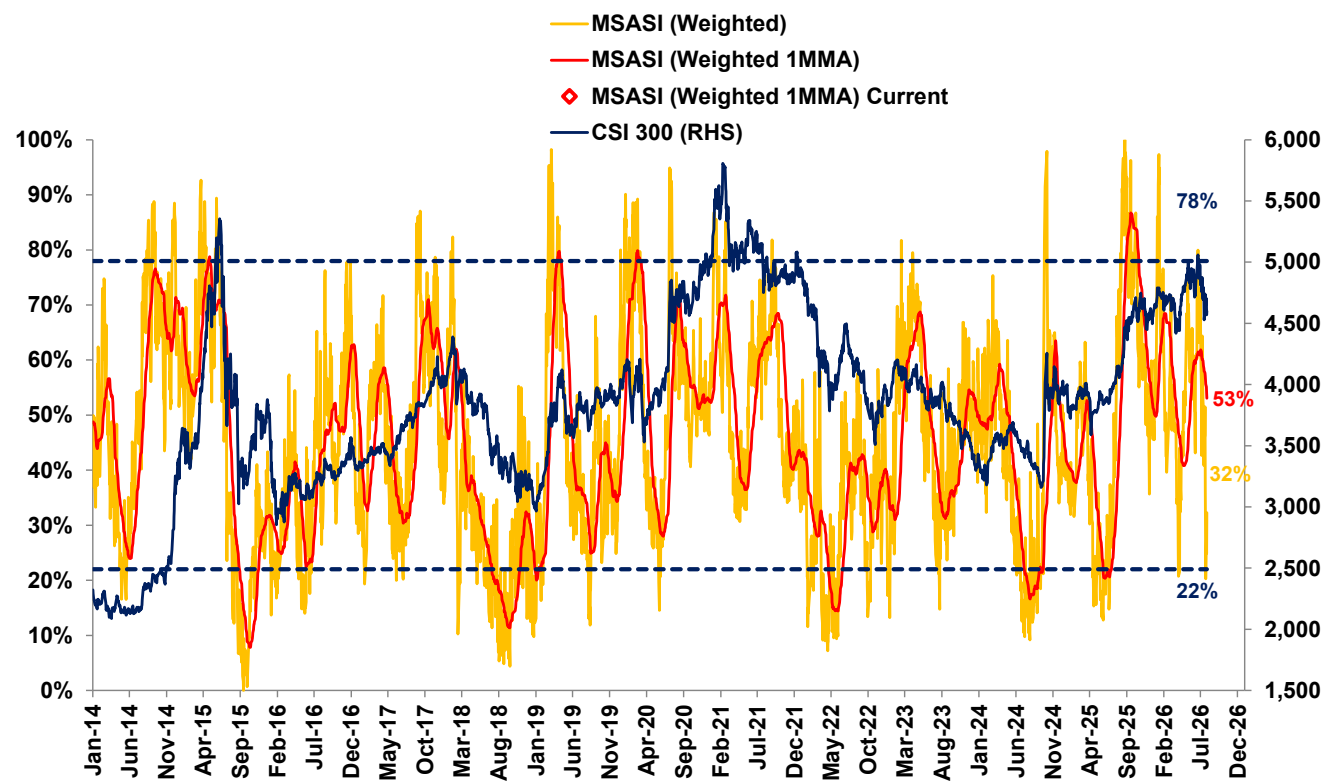
Source: Factset, Morgan Stanley Research. Data as of July 27, 2026

CXMT IPO May Add to Near-term A-share Volatility – Subsequent Stock Performance Key to Watch

Ticker	Company Name	Listing Date	IPO Funding Size (Rmb bn)	IPO Offer Price	Close Price on IPO date	Price Change on IPO date	Free-floats % of total market cap	First Peak Date	Time to First Peak (Days)	Peak Price (Rmb)	Upside to Peak %	Perf. relative to CSI 300	Perf. relative to SHCOMP	FirstTrough Date	Time to Trough Point (Days)	Trough Price (Rmb)	Pullback %	Perf. relative to CSI 300	Perf. relative to SHCOMP
688981.SH	Semiconductor Manufacturing International	2020-07-16	53.2	27.5	82.9	202.0%	29.9%	2020-08-06	21	84.8	2.3%	1.9%	1.5%	2022-10-25	810	37.6	(55.7%)	(31.6%)	(43.8%)
601138.SH	Foxconn Indl Internet	2018-06-08	27.1	13.8	19.8	44.0%	5.7%	2018-06-13	5	25.7	29.7%	30.8%	31.6%	2023-02-28	1721	9.6	(62.7%)	(69.0%)	(69.2%)
688347.SH	Hua Hong Grace Semiconductor	2023-08-07	21.2	52.0	53.1	2.0%	11.1%	2023-08-08	1	53.4	0.6%	1.6%	1.5%	2024-09-23	412	27.6	(48.4%)	(28.9%)	(32.5%)
688271.SH	Shanghai United Imaging Healthcare	2022-08-22	11.0	109.9	181.2	64.9%	5.7%	2022-08-23	1	182.0	0.4%	0.2%	(0.1%)	2023-08-28	370	103.0	(43.4%)	(33.2%)	(37.9%)
688041.SH	Hygon Information Technology	2022-08-12	10.8	36.0	60.1	66.9%	8.6%	2022-08-16	4	60.7	1.0%	1.4%	1.1%	2022-10-11	56	38.0	(37.4%)	(26.4%)	(28.3%)
688795.SH	Moore Threads Tech Co. Ltd.	2025-12-05	8.0	114.3	600.5	425.5%	6.3%	2025-12-11	6	941.1	56.7%	56.6%	56.8%	2026-03-23	102	505.3	(46.3%)	(42.5%)	(44.1%)
688802.SH	MetaX Integrated Circuits	2025-12-17	4.2	104.7	829.9	692.9%	4.5%	2025-12-17	0	829.9	0.0%	(1.8%)	(1.2%)	2026-02-05	50	492.0	(40.7%)	(44.6%)	(47.3%)
688008.SH	Montage Technology	2019-07-22	2.8	24.8	74.9	202.1%	6.6%	2019-08-05	14	85.7	14.3%	17.8%	17.8%	2019-10-31	87	58.3	(32.0%)	(35.7%)	(34.1%)
688256.SH	Cambricon Technologies	2020-07-20	2.6	64.4	212.4	229.9%	7.8%	2020-07-23	3	281.5	32.5%	28.8%	29.1%	2023-01-20	911	61.0	(78.3%)	(67.0%)	(76.3%)

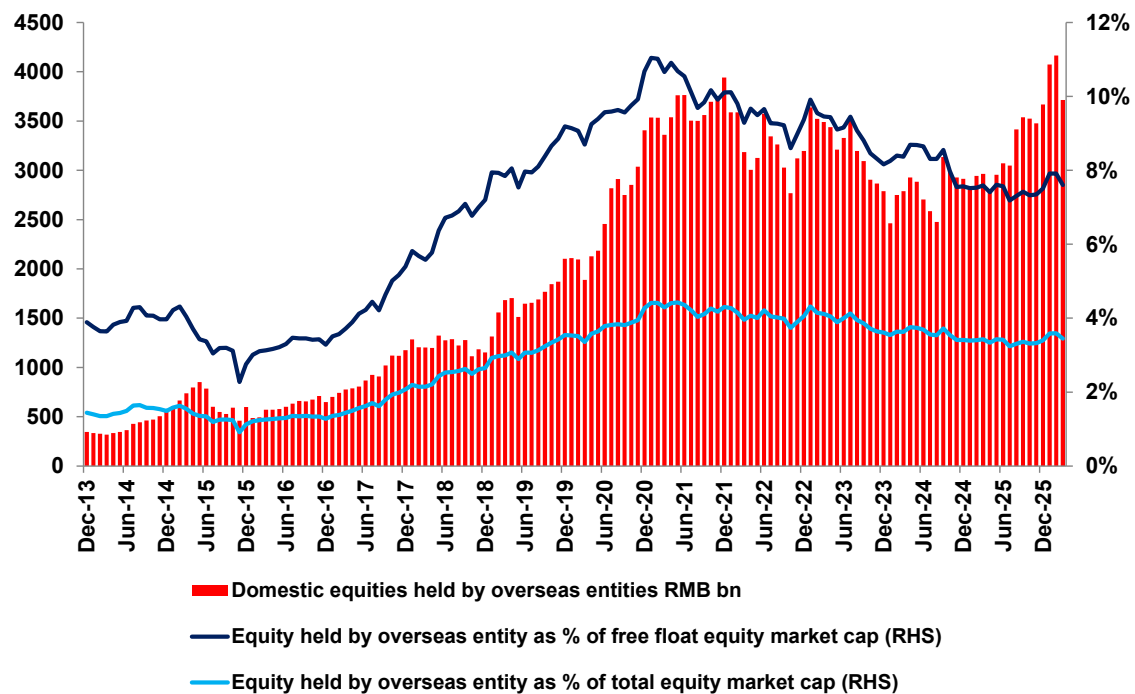
Past performance is no guarantee of future results. Results shown do not include transaction costs. Source: Wind, Bloomberg, Morgan Stanley Research.

Morgan Stanley A-share Sentiment Index (MSASI) – Helps Capture Critical Inflection Points Signaling Regulatory Intervention and/or Technical Reversals



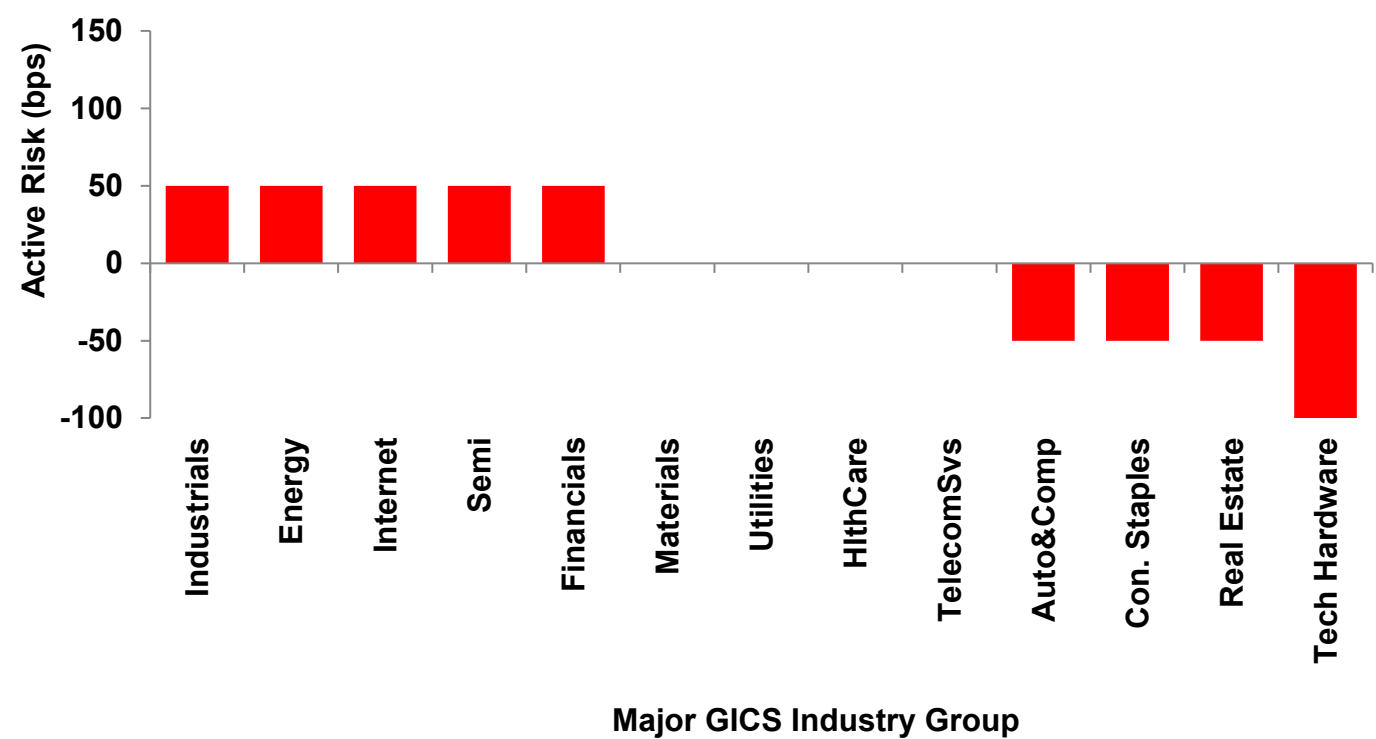
Source: CEIC, Bloomberg, Wind, RIMES, Morgan Stanley Research. Data as of July 29, 2026.

Chinese A-share Market Foreign Ownership as a Percentage of Total and Free Float Market Cap – No Meaningful Recovery Yet



Source: CEIC, Wind, Bloomberg, FactSet, Morgan Stanley Research. Note: Quarterly data as of end-March 2026.

Morgan Stanley Top-down Sector Allocation for China Market – We Advise Adding Back Internet in the Near Term to Capture the HK Recovery Rally



Source: Morgan Stanley Research.

Key recommended trades for the next 6-12 months

- Add back Hong Kong exposure between July and September; Reassess by end of summer, especially the global market situation
- Morgan Stanley China/Hong Kong Focus List and A-share Thematic Focus List
- China Best Business Model
- China's Global Export Champions
- Event-driven tactical trade of Stock Connect Southbound inclusion/deletion (one-month tactical trading strategy to be deployed in August start)

Source: Morgan Stanley Research.

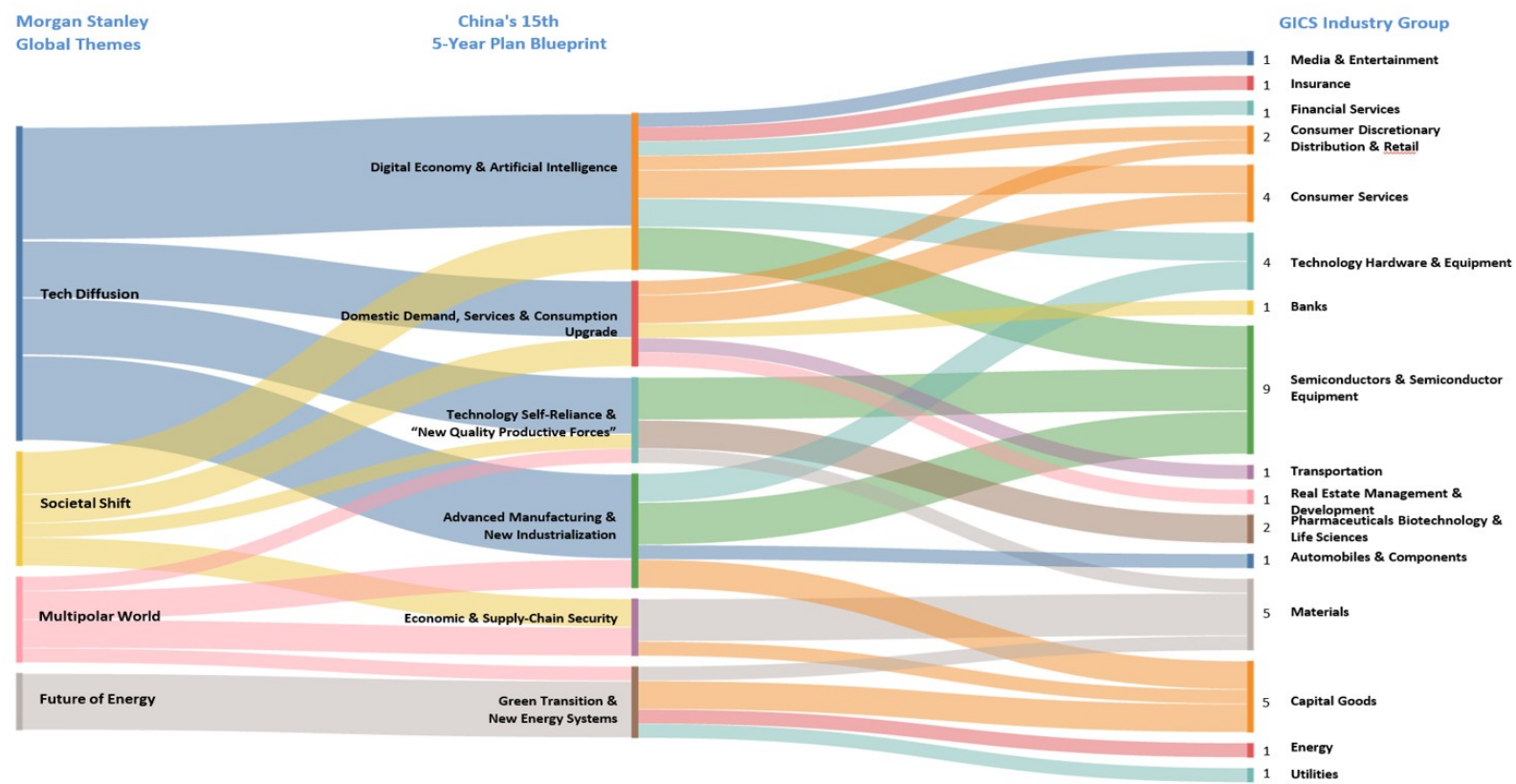
China Best Business Models – Robust Stock Selection to Weather Global Macro Uncertainty with Risk-adjusted Return



	Annualized total return in US\$		Standard deviation		Sharpe ratio	
	China BBM v2	MSCI China	China BBM v2	MSCI China	China BBM v2	MSCI China
5 Yr (2021 - 2025)	15.3%	(3.0%)	22.5%	27.1%	0.53	(0.24)
3 Yr (2023 - 2025)	27.8%	11.8%	20.4%	24.0%	1.16	0.32
1 Yr (Jul 2025 - Jul 2026)	44.0%	(4.0%)	23.0%	20.1%	1.73	(0.41)

Source: IBES, FactSet, Morgan Stanley Research. Data as of July, 2026.

China Best Business Models – Aligns with Morgan Stanley Global Theme as Well as China’s Long-term National Growth Strategy Plan



Source: Morgan Stanley Research.

China Best Business Models – 26 Champions Identified with Best Competitive Advantages and Industry Moats from 16 Industry Groups

Ticker	Company Name	GICS Sector	GICS Industry Group	MS Rating	MS Analyst	New Inclusion	MS Global Themes	AI Exposure
0700.HK	Tencent Holdings Ltd.	Communication Service	Media & Entertainment	OW	Yu, Gary		Tech Diffusion	AI enabler
3606.HK	Fuyao Glass Industry Group	Consumer Discretionary	Automobiles & Components	EW	Wang, Shelley		Multipolar World	Others – protected from AI disruption
BABA.N	Alibaba Group Holding	Consumer Discretionary	Consumer Discretionary Distribution & Retail	OW	Yu, Gary		Tech Diffusion	AI enabler
YUMC.N	Yum China Holdings Inc.	Consumer Discretionary	Consumer Services	OW	Lou, Lillian		Societal Shift	AI adopter
HTHT.O	H World Group Ltd	Consumer Discretionary	Consumer Services	OW	Chee, Dan		Societal Shift	AI adopter
0857.HK	PetroChina	Energy	Energy	OW	Lu, Jack		Future of Energy	Others – protected from AI disruption
002142.SZ	Bank of Ningbo Co. Ltd	Financials	Banks	OW	Xu, Richard		Tech Diffusion	AI adopter
FUTU.O	Futu Holdings Ltd	Financials	Financial Services	OW	Huang, Chiyao	+	Tech Diffusion	AI adopter
2318.HK	Ping An Insurance Group Co of China Ltd	Financials	Insurance	OW	Xu, Richard		Societal Shift	AI adopter
600276.SS	Jiangsu Hengrui	Health Care	Pharmaceuticals Biotechnology & Life Sciences	OW	Yan, Alexis	+	Societal Shift	AI adopter
300750.SZ	Contemporary Amperex Technology Co. Ltd	Industrials	Capital Goods	OW	Lu, Jack	+	Future of Energy	AI enabler
0669.HK	Techtronic Industries Co Ltd	Industrials	Capital Goods	OW	Cheng, Terence	+	Multipolar World	AI adopter
002028.SZ	Sieyuan Electric Co.Ltd.	Industrials	Capital Goods	OW	Hou, Eva	+	Future of Energy	AI enabler
ZTO.N	ZTO Express	Industrials	Transportation	OW	Fan, Qianlei	+	Tech Diffusion	AI adopter
002371.SZ	NAURA Technology Group Co Ltd	Information Technology	Semiconductors & Semiconductor Equipment	OW	Chan, Charlie	+	Tech Diffusion	AI enabler
688008.SS	Montage Technology Co Ltd	Information Technology	Semiconductors & Semiconductor Equipment	OW	Yen, Daniel	+	Tech Diffusion	AI enabler
0522.HK	ASMPT Ltd	Information Technology	Semiconductors & Semiconductor Equipment	OW	Dai, Daisy	+	Tech Diffusion	AI enabler
601138.SS	Foxconn Industrial Internet Co. Ltd.	Information Technology	Technology Hardware & Equipment	OW	Shih, Sharon	+	Tech Diffusion	AI enabler
002475.SZ	Luxshare Precision Industry Co., Ltd.	Information Technology	Technology Hardware & Equipment	OW	Shih, Sharon		Tech Diffusion	Others – protected from AI disruption
2899.HK	Zijin Mining Group	Materials	Materials	OW	Zhang, Rachel	+	Multipolar World	AI enabler
6655.HK	Huaxin Building Materials	Materials	Materials	OW	Zhang, Rachel	+	Societal Shift	Others – protected from AI disruption
300487.SZ	Sunresin New Materials Co Ltd	Materials	Materials	EW	Xu, Kaylee	+	Societal Shift	Others – protected from AI disruption
1109.HK	China Resources Land Ltd.	Real Estate	Real Estate Management & Development	OW	Cheung, Stephen	+	Tech Diffusion	AI adopter
600900.SS	China Yangtze Power Co.	Utilities	Utilities	OW	Hou, Eva		Future of Energy	Others – protected from AI disruption

Source: Morgan Stanley Research.

Morgan Stanley Global Export Champion Stock List

Ticker	Company name	Analyst Rating	GICS industry group	Last Price (US\$)	Avg daily t/o US\$ mn	Mkt cap. US\$ bn	Upside to target price	EPS Growth (MS estimate)		ROE		PE		DY		Analyst	2025 Overseas revenue %
								2026e	2027e	2026e	2027e	2026e	2027e	2026e	2027e		
603308.SS	Anhui Yingliu Electromechanical Co Ltd	OW	Capital Goods	6.48	152	4	130.5%	67%	93%	10.9%	18.6%	51.5	26.7	0.4%	0.6%	Li, Tom	53%
2590.HK	Beijing Geekplus Technology Co., Ltd.	OW	Capital Goods	1.19	13	2	113.7%	123%	1242%	-0.7%	8.8%	NM	34.8	NA	NA	Zhong, Sheng	71%
300750.SZ	Contemporary Amperex Technology Co. Ltd.	OW	Capital Goods	58.61	1850	281	49.9%	27%	35%	25.8%	29.4%	19.3	14.2	2.6%	3.5%	Lu, Jack	32%
002487.SZ	Dajin Heavy Industry	OW	Capital Goods	5.97	173	4	180.6%	77%	46%	21.2%	25.0%	13.2	9.0	0.5%	0.9%	Hou, Eva	75%
600885.SS	Hongfa Technology Co Ltd	OW	Capital Goods	5.02	100	7	26.5%	11%	29%	15.0%	16.4%	25.4	19.7	1.0%	1.2%	Zhong, Sheng	31%
002270.SZ	Huaming Power Equipment	OW	Capital Goods	2.94	62	3	32.7%	11%	20%	24.1%	26.6%	22.7	19.0	3.1%	3.5%	Li, Tom	20%
600522.SS	Jiangsu Zhongtian Technology Co. Ltd.	OW	Capital Goods	4.33	706	15	81.4%	121%	29%	16.2%	18.2%	15.6	12.1	2.0%	2.7%	Hou, Eva	19%
603606.SS	Ningbo Orient Wires & Cables Co Ltd	OW	Capital Goods	6.05	106	5	49.1%	27%	30%	18.2%	19.8%	17.7	14.0	1.6%	1.9%	Hou, Eva	14%
601567.SS	Ningbo Sanxing Medical Electric Co. Ltd.	OW	Capital Goods	2.38	80	3	124.6%	27%	31%	16.3%	19.2%	10.7	8.2	4.1%	5.2%	Li, Tom	20%
600031.SS	Sany Heavy Industry Co., Ltd.	OW	Capital Goods	3.01	242	28	37.3%	12%	39%	11.1%	14.5%	18.6	13.4	2.7%	3.8%	Zhong, Sheng	64%
002028.SZ	Sieyuan Electric Co.Ltd.	OW	Capital Goods	24.47	247	19	43.1%	31%	40%	23.9%	26.8%	31.4	22.4	0.4%	0.6%	Hou, Eva	29%
0669.HK	Techtronic Industries Co Ltd	OW	Capital Goods	16.74	70	31	2.8%	20%	11%	20.8%	21.3%	21.3	19.2	2.0%	2.4%	Cheng, Terence	97%
2338.HK	WeiChai Power	OW	Capital Goods	4.10	59	35	46.3%	31%	31%	14.7%	17.5%	17.0	13.0	3.4%	4.6%	Zhong, Sheng	53%
300450.SZ	Wuxi Lead Intelligent	OW	Capital Goods	4.93	570	8	61.6%	53%	79%	15.5%	21.7%	21.8	12.2	0.9%	1.4%	Zhong, Sheng	24%
603338.SS	Zhejiang Dingli Machinery Co Ltd.	OW	Capital Goods	8.93	50	5	10.8%	10%	27%	17.2%	19.2%	14.7	11.6	2.1%	2.6%	Zhong, Sheng	82%
688006.SS	Zhejiang Hangke Technology	OW	Capital Goods	3.09	63	2	139.2%	52%	45%	12.9%	16.3%	16.5	11.4	0.7%	0.9%	Zhong, Sheng	56%
603799.SS	Zhejiang Huayou Cobalt Co Ltd	OW	Capital Goods	5.95	646	11	86.1%	35%	29%	16.5%	18.2%	8.9	6.9	1.2%	1.7%	Jiang, Chris	64%
1157.HK	Zoomlion Heavy Industry	OW	Capital Goods	0.97	10	9	28.6%	6%	40%	8.7%	11.7%	11.3	8.1	6.4%	9.0%	Zhong, Sheng	60%
6655.HK	Huaxin Building Materials	OW	Materials	1.93	11	6	12.3%	19%	12%	10.2%	10.7%	8.0	7.2	5.0%	5.6%	Zhang, Rachel	35%
600219.SS	Shandong Nanshan Aluminium Co.	EW	Materials	0.68	204	8	0.2%	11%	-20%	10.6%	8.4%	10.5	13.1	9.0%	7.2%	Zhang, Rachel	54%
600309.SS	Wanhua Chemical	OW	Materials	11.00	407	35	35.6%	44%	16%	15.7%	16.3%	13.0	11.2	2.4%	2.8%	Xu, Kaylee	47%
688008.SS	Montage Technology Co Ltd	OW	Semiconductors & Semiconductor Equipment	30.65	1197	35	81.7%	63%	107%	20.2%	28.0%	65.7	31.8	0.0%	0.0%	Yen, Daniel	72%
300373.SZ	Yangjie Technology	OW	Semiconductors & Semiconductor Equipment	12.94	222	7	55.3%	27%	40%	15.1%	18.3%	29.9	21.3	0.6%	0.7%	Dai, Daisy	25%
601138.SS	Foxconn Industrial Internet Co. Ltd.	OW	Technology Hardware & Equipment	8.53	1763	160	43.4%	73%	31%	36.1%	45.9%	18.8	14.3	4.9%	6.5%	Kao, Howard	44%
601231.SS	Universal Scientific Ind. (Shanghai)	OW	Technology Hardware & Equipment	3.48	184	8	92.6%	42%	48%	12.5%	16.7%	19.9	13.4	1.8%	2.6%	Dai, Daisy	46%

Source: ModelWare, RIMES, FactSet, Morgan Stanley Research. Note: OW = Overweight. Data as of July 28, 2026. This assumes the Focus List constitutes an equal-weighted portfolio, rebalanced whenever positions are added or subtracted. Results shown represent total absolute return (including dividends) and exclude brokerage commissions. These figures are not audited. Past performance is no guarantee of future results. (X) indicates stock has outperformed MSCI China Index since inclusion in the Focus List.

MSSBT Forecast of September 2026 SB Inclusion Stocks

Ticker	Name	Sector	Price (HK\$)	YTD perf (%)	Average Mktcap during the review period (HK\$ bn)	Total market cap as of the cut-off date (HK\$bn)	3M ADTV (HK\$ mn)	IPO date	ROE	EPS Growth		P/E (X)		P/B (X)		Dividend yield (%)	
									2026E	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E
2723.HK	Beijing DeepZero Technology H	Communication Services	549.0	170.4	29.2	33.5	107.0	2026-05-27									
6675.HK	SENASIC Electronics Technology H	Consumer Discretionary	20.9	(49.9)	13.3	13.7	47.9	2026-06-17									
2632.HK	Jiangsu New Vision Automotive Electronics H	Consumer Discretionary	59.5	113.4	10.4	9.9	10.3	2026-03-24									
6715.HK	Hangzhou QiandaoXunlong Sci-tech H	Consumer Staples	80.2	(29.6)	12.4	12.4	73.3	2026-06-30	16.6		20.2%	17.1	14.2	2.4	2.1	2.4	2.9
6658.HK	Luliumei H	Consumer Staples	149.1	16.5	11.4	13.4	56.3	2026-06-15			39.3%	33.8	24.2				
2553.HK	Beijing Shougang LanzaTech H	Energy	25.0	18.7	11.1	20.9	86.4	2026-06-03									
2672.HK	Baige Online Digital Technology H	Financials	64.0	(12.3)	11.2	24.0	41.3	2026-06-29									
1508.HK	China Reinsurance (Group) H	Financials	1.2	(22.0)	10.1	47.2	32.6	2015-10-26	9.4	-8.7%	4.6%	4.2	3.9	0.4	0.4	7.0	7.3
2526.HK	Hangzhou Diags Biotechnology H	Health Care	307.4	46.7	26.8	27.5	37.6	2026-03-30									
7666.HK	Metis TechBio H	Health Care	11.1	(53.4)	17.0	18.2	114.2	2026-05-13	(16.9)		-72.7%						
2696.HK	Shanghai Henlius Biotech	Health Care	59.4	4.0	16.1	35.1	58.9	2019-09-25	20.4	28.1%	-18.3%	25.5	31.2	5.6	4.7	0.0	0.0
2697.HK	Guangdong True Health Medical Technology Development H	Health Care	482.0	20.5	14.3	14.3	55.3	2026-06-30									
6872.HK	TenNor Therapeutics H	Health Care	171.6	(18.7)	12.1	11.4	25.7	2026-05-22									
2142.HK	HBM Holdings	Health Care	12.0	(1.6)	11.0	9.4	45.7	2020-12-10	20.3	11.5%	-6.9%	6.3	4.9	2.7	2.2		
2335.HK	Shaanxi Miot Pharmaceutical Technology H	Health Care	34.3	(7.0)	10.7	12.1	48.8	2026-06-24									
7630.HK	IMPACT Therapeutics H	Health Care	12.7	(69.6)	10.5	10.2	29.5	2026-05-13			-361.9%		8.3			0.0	0.0
1779.HK	LongBio Pharma H	Health Care	84.9	(35.6)	10.5	11.2	46.9	2026-06-05									
6938.HK	Suzhou Ribo Life Science H	Health Care	50.8	(38.1)	10.5	8.0	13.5	2026-01-09	(17.6)	-52.1%	147.7%			7.6	12.3	0.0	0.0
1609.HK	Star Sports Medicine Co. H	Health Care	133.7	(37.8)	10.5	8.5	32.3	2026-05-05									
9637.HK	Aebund Pharmaceuticals H	Health Care	29.2	(36.6)	10.4	15.6	73.6	2026-06-29									
2616.HK	CStone Pharmaceuticals	Health Care	4.7	(11.2)	10.4	7.5	68.9	2019-02-26		40.1%	-213.3%	0.4	6.0				
6656.HK	Signergy Technology H	Industrials	293.2	(55.2)	67.5	89.5	151.2	2026-04-16	59.7		39.5%	12.3	8.8	5.3	3.3	0.0	0.0
2729.HK	Zhejiang Galaxis Technology Group H	Industrials	30.3	(1.2)	14.1	12.9	16.6	2026-03-24	14.0								
1651.HK	Precision Tsugami	Industrials	52.7	71.8	14.0	25.9	89.0	2017-09-25	27.5	58.4%	19.0%	17.7	14.3	4.6	3.5	2.6	3.5
9900.HK	Hong Kong Zcloud Technology Construction	Industrials	4.8	(22.6)	13.1	17.7	16.6	2018-02-13									
7688.HK	Shanghai Top Numerical Control Technology H	Industrials	14.5	(69.6)	12.4	10.1	82.3	2026-05-20			617.4%	208.0	30.4				
2670.HK	Beijing Yunli Technology H	Industrials	161.9	48.5	11.8	21.0	11.3	2025-10-16		-87.2%	-157.1%						
1286.HK	Impro Precision Industries	Industrials	7.6	58.5	11.7	15.6	63.8	2019-06-28	14.0	21.6%	23.3%	17.0	13.9	2.3	2.1	2.4	3.1
6106.HK	Shanghai Seer Intelligent Technology H	Industrials	62.3	(41.2)	11.6	11.2	71.3	2026-06-24									
3388.HK	Shenzhen Creality 3D Technology H	Industrials	19.5	(14.6)	10.9	12.5	63.0	2026-05-29	9.2		75.4%	45.8	25.5	3.8	3.4		
1133.HK	Harbin Electric H	Industrials	16.2	(1.0)	10.7	34.3	152.9	1994-12-16	17.5	28.7%	19.3%	9.2	7.7	1.6	1.4	3.8	4.5
1511.HK	UISEE Technologies H	Industrials	59.5	3.5	10.6	15.7	43.6	2026-05-20									
1021.HK	Guangdong Huayan Robotics H	Industrials	11.7	(36.4)	10.4	10.1	25.5	2026-03-30	3.1		714.3%	240.4	73.2	10.1	8.9	3.3	10.4
1879.HK	Shanghai Xizhi Technology H	Information Technology	318.8	(64.0)	47.4	39.5	416.6	2026-04-28			-52.8%						
0068.HK	Manycore Tech	Information Technology	8.9	(52.3)	34.3	19.9	295.2	2026-04-17	(5.2)		82.1%	150.3	84.2	7.7	7.1		
3277.HK	Gigaset Changchun Microelectronics H	Information Technology	72.4	3.7	27.1	49.4	177.1	2026-04-17	15.5		46.8%	50.2	34.4	6.0	5.1	0.6	0.8
3355.HK	FS.COM H	Information Technology	35.8	(23.1)	17.0	16.1	17.1	2026-03-23									
1956.HK	Beijing Zhongke WengeAI Science and Technology H	Information Technology	62.8	(43.8)	16.7	14.8	78.7	2026-06-26									
1191.HK	Creallights Technology H	Information Technology	96.7	(41.4)	16.0	17.2	172.7	2026-06-29									
1392.HK	Shenzhen HQVT Technology H	Information Technology	14.9	(44.3)	15.5	14.0	66.5	2026-06-22									
3310.HK	Viewtrix Technology H	Information Technology	30.7	(23.1)	14.8	17.5	40.8	2026-05-27									
1236.HK	Shenzhen LDRobot H	Information Technology	33.2	(44.7)	13.4	11.4	33.9	2026-05-11									
0901.HK	Shenzhen SDMC Technology H	Information Technology	61.0	(0.3)	13.3	13.9	29.9	2026-05-27									
2726.HK	Epiworld International H	Information Technology	102.3	(0.7)	13.1	49.2	26.2	2026-03-30									
3625.HK	Shanghai FourSemi Semiconductor H	Information Technology	81.0	1.3	12.6	10.9	18.8	2026-03-31	(33.3)		-144.6%		759.8			0.0	0.0
0600.HK	Axera Semiconductor H	Information Technology	12.3	(56.5)	12.6	9.0	20.0	2026-02-10	3.8		-31.5%						
2272.HK	Keytop Parking H	Information Technology	113.5	(5.6)	11.5	11.6	25.6	2026-06-26									
6636.HK	Shandong Extreme Vision Technology H	Information Technology	72.0	(28.0)	10.9	9.7	35.8	2026-03-30			7.4%						
0340.HK	Tongguan Gold Group	Materials	1.9	(30.2)	13.3	9.7	21.3	1997-03-26	29.4	97.7%	19.9%	6.6	5.5	1.9	1.4	1.8	4.7
1866.HK	China XLX Fertiliser	Materials	9.1	5.6	11.5	11.7	47.6	2009-12-08	14.7	28.8%	24.1%	6.5	5.3	0.9	0.8	5.4	7.8
2245.HK	Lygend Resources & Technology H	Materials	13.7	(36.2)	10.1	22.8	71.2	2022-12-01	29.2	27.2%	40.0%	5.1	3.6	1.0	0.7		

Past performance is no guarantee of future results. Results shown do not include transaction costs. For valuation methodology and risks associated with any price targets above, please email morganstanley.research@morganstanley.com with a request for valuation methodology and risks on a particular stock. Source: IBES, FactSet, Morgan Stanley Research. Data as of July 21, 2026.

MSSBT Forecast of September 2026 SB Deletion Stocks

Ticker	Name	Sector	Price (HK\$)	YTD perf (%)	Average Mktcap during the review period (HK\$ mn)	Total market cap as of the cut-off date (HK\$bn)	3M ADTV (HK\$ mn)	IPO date	ROE	P/E (X)		P/B (X)		Dividend yield (%)	
									2026E	2026E	2027E	2026E	2027E	2026E	2027E
1691.HK	JS Global Lifestyle	Consumer Discretionary	1.44	(25.4)	29.2	4.6	8.6	2019-12-18	11.2	9.18	7.35	1.0	0.9	5.4	
1773.HK	Tianli International Holdings	Consumer Discretionary	1.21	(48.3)	11.4	2.3	15.2	2018-07-12		2.61	2.61				
2431.HK	Minieye Technology H	Consumer Discretionary	7.25	(48.5)	10.1	3.9	85.6	2024-12-27	-28.2			3.0	3.3		
6603.HK	IFBH	Consumer Staples	5.8	(62.3)	11.2	1.6	26.7	2025-06-30	20.6	6.16	5.21	1.0	0.8	34.1	57.9
6955.HK	Shandong Boan Biotechnology H	Health Care	5.05	(40.9)	10.4	2.9	40.3	2022-12-30							
2587.HK	HealthyWay	Health Care	2.16	(50.6)	26.8	2.0	41.7	2024-12-30							
2291.HK	LEPU ScienTech Medical Technology (Shanghai) H	Health Care	12.18	(20.2)	12.4	3.5	22.5	2022-11-08							
2410.HK	TYK Medicines H	Health Care	8.42	(35.8)	17.0	2.2	26.3	2024-08-20							
2158.HK	Yidu Tech	Health Care	4.92	(6.3)	13.3	5.0	40.5	2021-01-15	0.0		64.36	1.1	1.2		
2570.HK	Shanghai REFIRE H	Industrials	21.66	(66.6)	16.1	2.0	19.3	2024-12-06	-35.5			1.5	1.8	0.0	
2582.HK	Jiangsu Guofu H	Industrials	11.23	(58.4)	14.3	1.6	48.4	2024-11-15	-5.7		24.24				
0909.HK	Ming Yuan Cloud Group Holdings	Information Technology	1.45	(53.6)	11.1	2.3	15.1	2020-09-25	1.7	50.07	29.81	0.5	0.5	3.6	3.6
2562.HK	Synagistics	Information Technology	1.36	(22.7)	13.4	0.6	74.8	2024-10-30							

Past performance is no guarantee of future results. Results shown do not include transaction costs. For valuation methodology and risks associated with any price targets above, please email morganstanley.research@morganstanley.com with a request for valuation methodology and risks on a particular stock. Source: IBES, FactSet, Morgan Stanley Research. Data as of July 21, 2026.

Morgan Stanley China/HK Focus List

				GICS	Mkt Cap	Date	Total US\$ Returns	12M Total Return	Last Price	Upside to Target		MS P/E	MS P/B	MS ROE	MS Div. Yld	MS P/Sales	
Company Name	Ticker	Rating	Market	Sector	(US\$bn)	Added	Since Added	Perf.	(US \$)	Price	2026E	2027E	2026E	2026E	2026E	2026E	Analyst
Alibaba Group Holding	BABA.N	OW	China	Consumer Discretionary	284.7	24-Feb-25	-14.9%	-4.9%	112.4	60.2%	22.7x	23.9x	1.6x	7.2%	-	2.1x	Yu, Gary
China Petroleum & Chemical Corp.	0386.HK	OW	China	Energy	87.3	2-Mar-26	-19.0%	1.0%	0.5	66.5%	7.5x	5.4x	0.5x	6.8%	9.7%	0.2x	Lu, Jack
China Shenhua Energy	1088.HK	OW	China	Energy	131.4	25-Mar-26	-5.5%	33.5%	5.4	14.1%	12.1x	12.6x	1.7x	13.8%	6.2%	2.2x	Yang, Hannah
Contemporary Amperex Technology Co. Ltd.	300750.SZ	OW	China	Industrials	281.5	10-Mar-24	185.8%	47.1%	✓ 53.7	63.7%	17.7x	13.1x	4.4x	25.8%	2.8%	3.3x	Lu, Jack
Duality Biotherapeutics Inc	9606.HK	OW	China	Health Care	2.4	21-Aug-25	-33.4%	-45.5%	28.4	121.2%	63.8x	-46.8x	-8.4x	-13.2%	0.0%	12.8x	Lin, Jack
GigaDevice Semiconductor Beijing Inc	603986.SS	OW	China	Information Technology	35.9	2-Mar-26	26.6%	221.5%	✓ 86.1	52.3%	35.0x	19.3x	12.8x	36.6%	0.9%	8.6x	Yen, Daniel
HK Exchanges & Clearing	0388.HK	OW	Hong Kong	Financials	66.1	24-Feb-25	22.1%	-4.7%	✓ 49.6	32.3%	27.0x	25.3x	8.1x	29.9%	3.3%	17.1x	Xu, Richard
HKT Trust and HKT Ltd.	6823.HK	OW	Hong Kong	Communication Services	12.4	24-Mar-21	75.1%	11.1%	✓ 1.5	16.1%	16.4x	15.8x	2.5x	15.4%	7.1%	2.6x	Tang, Tom
Jiangsu Zhongtian Technology Co. Ltd.	600522.SS	OW	China	Industrials	14.8	25-Mar-26	8.8%	124.7%	✓ 6.3	24.4%	22.7x	17.6x	3.4x	15.1%	1.4%	1.6x	Hou, Eva
NARI Technology	600406.SS	OW	China	Industrials	28.4	13-Jun-19	176.1%	18.0%	✓ 3.2	46.9%	18.7x	16.5x	3.1x	16.4%	2.8%	2.6x	Hou, Eva
Ping An Insurance Group Co of China Ltd	2318.HK	OW	China	Financials	29.3	2-Dec-25	3.7%	8.4%	✓ 6.9	71.2%	5.6x	5.0x	0.8x	14.3%	6.2%	0.9x	Xu, Richard
NAURA Technology Group Co Ltd	002371.SZ	OW	China	Information Technology	75.6	18-Jun-26	-2.0%	117.5%	114.2	5.8%	60.8x	41.6x	10.9x	17.9%	0.3%	10.0x	Chan, Charlie
Sinoma Science & Technology Co. Ltd.	002080.SZ	OW	China	Materials	10.8	12-Jan-26	22.9%	59.4%	✓ 10.7	-22.4%	53.5x	39.5x	5.6x	10.5%	0.5%	2.0x	Hou, Eva
Zijin Mining Group	2899.HK	OW	China	Materials	122.7	14-Nov-22	256.4%	51.6%	✓ 3.9	80.2%	8.7x	8.6x	2.8x	31.7%	2.9%	1.7x	Zhang, Rachel

Total Return	Since Inception		12 Months		1 Month	
	Absolute	Relative	Absolute	Relative	Absolute	Relative
China Focus List (US\$)	113.5%	70.6%	14.8%	20.9%	-6.8%	-13.2%

Source: ModelWare, RIMES, FactSet, Morgan Stanley Research. Note: OW = Overweight. Data as of July 29, 2026. This assumes the Focus List constitutes an equal-weighted portfolio, rebalanced whenever positions are added or subtracted. Results shown represent total absolute return (including dividends) and exclude brokerage commissions. These figures are not audited. Past performance is no guarantee of future results. (X) indicates stock has outperformed MSCI China Index since inclusion in the Focus List.

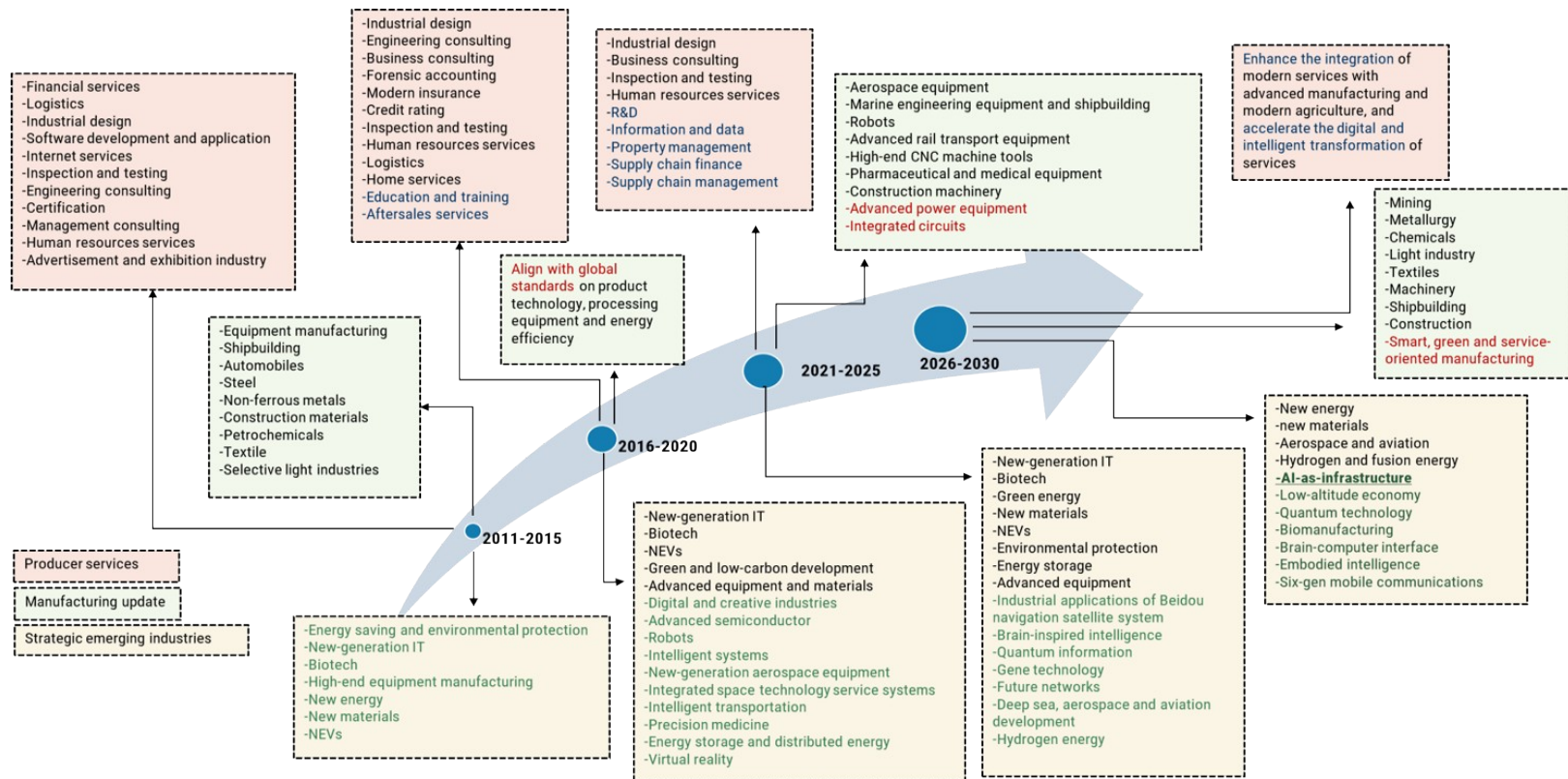
Morgan Stanley China A-share Thematic Stock List

Company Name	Ticker	Rating	Market	GICS Sector	Mkt Cap (US\$bn)	Date Added	Total US\$ Returns		12M Total Return	Last Price (US \$)	Upside to Target Price	MS P/E		MS P/B	MS ROE	MS Div.	MS	Analyst
							Since Added	Perf.				2026E	2027E			2026E	2026E	
Contemporary Amperex Technology Co. Ltd.	300750.SZ	OW	China	Industrials	281.5	10-Mar-24	185.8%	47.1%	✓	57.6	49.9%	19.0x	14.0x	4.6x	25.8%	2.6%	3.3x	Lu, Jack
GigaDevice Semiconductor Beijing Inc	603986.SS	OW	China	Information Technology	35.9	2-Mar-26	26.6%	221.5%	✓	73.0	143.9%	29.6x	16.3x	10.8x	36.6%	1.0%	8.6x	Yen, Daniel
Hongfa Technology Co Ltd	600885.SS	OW	China	Industrials	7.4	16-Apr-24	98.2%	54.3%	✓	4.9	26.5%	24.7x	19.1x	3.4x	13.9%	1.1%	2.4x	Zhong, Sheng
Jiangsu Zhongtian Technology Co. Ltd.	600522.SS	OW	China	Industrials	14.8	25-Mar-26	8.8%	124.7%	✓	7.3	81.4%	26.1x	20.2x	4.0x	15.1%	1.2%	1.6x	Hou, Eva
NARI Technology	600406.SS	OW	China	Industrials	28.4	13-Jun-19	176.1%	18.0%	✓	3.4	34.8%	19.7x	17.3x	3.2x	16.4%	2.7%	2.6x	Hou, Eva
NAURA Technology Group Co Ltd	002371.SZ	OW	China	Information Technology	75.6	18-Jun-26	-2.0%	117.5%		104.2	15.8%	55.5x	37.9x	9.9x	17.9%	0.3%	10.0x	Chan, Charlie
Ping An Insurance Group Co of China Ltd	601318.SS	OW	China	Financials	140.5	12-Jan-26	-14.4%	1.6%		7.9	54.7%	6.4x	5.8x	0.8x	14.3%	5.3%	0.9x	Xu, Richard
Sinoma Science & Technology Co. Ltd.	002080.SZ	OW	China	Materials	10.8	17-Nov-25	40.9%	59.4%	✓	9.5	28.5%	47.8x	35.3x	5.0x	10.5%	0.5%	2.0x	Hou, Eva
Zijin Mining Group	601899.SS	OW	China	Materials	122.7	28-Nov-22	285.4%	78.0%	✓	4.2	61.7%	9.4x	9.2x	3.0x	31.7%	2.7%	1.7x	Zhang, Rachel

Total Return	Since Inception		12 Months		1 Month	
	Absolute	Relative	Absolute	Relative	Absolute	Relative
China A-Share Thematic Focus List (US\$)	205.5%	139.2%	39.7%	24.8%	-16.4%	-10.8%

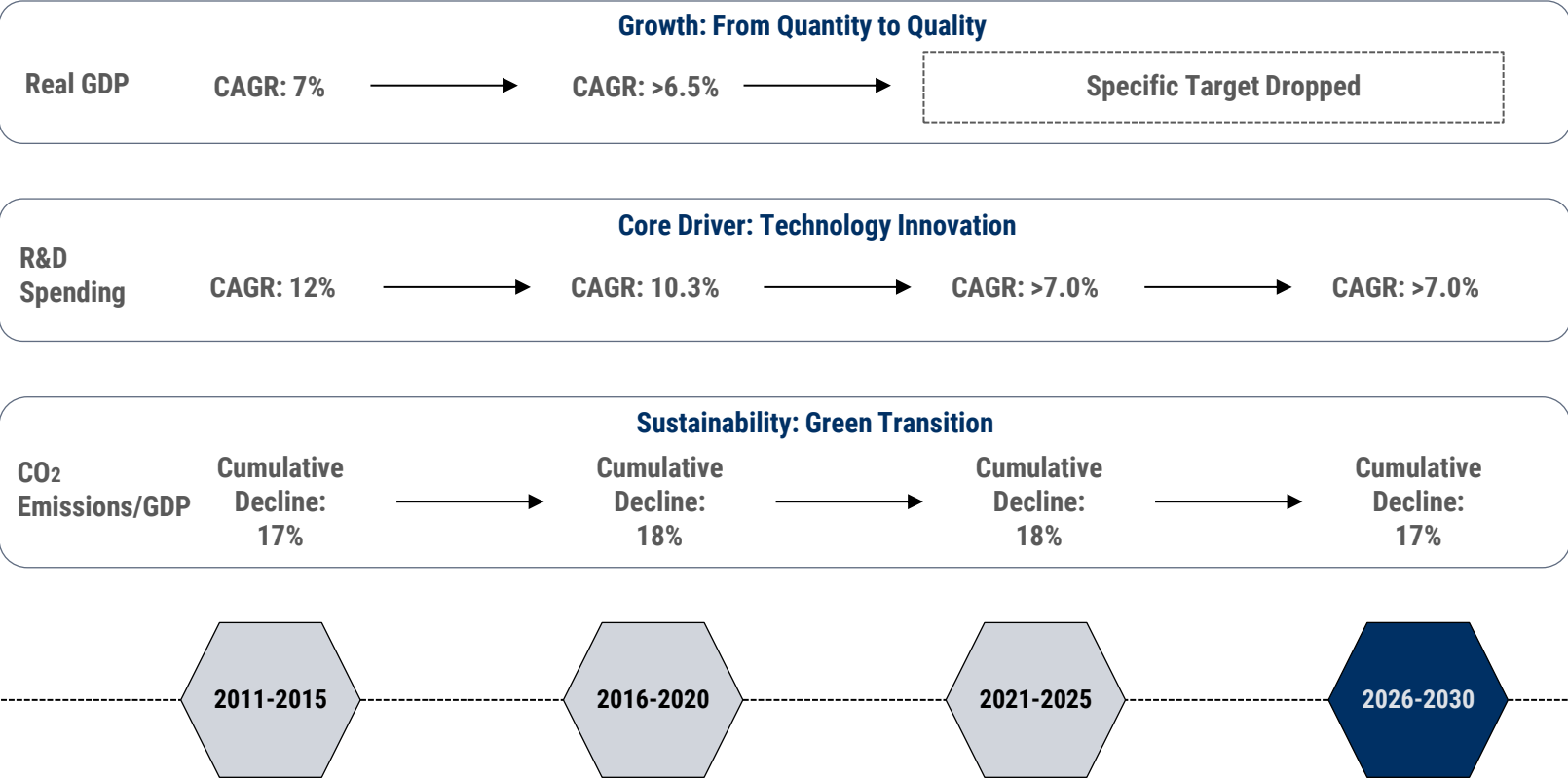
Source: MSCI, RIMES, Morgan Stanley Research. Note: OW = Overweight. Data as July 29, 2026. This assumes the group of selected stocks constitutes an equal-weighted portfolio, rebalanced whenever positions are added or subtracted. Results shown represent total absolute returns (including dividends) and exclude brokerage commissions. These figures are not audited. Past performance is no guarantee of future results. Tick-mark indicates stock has outperformed Shanghai Composite Index since inclusion in the Focus List.

Long-term Growth Opportunities Concentrate in Tech & Innovation – China Has Implemented a Systemic Framework on Industrial Upgrade and Innovation



Source: Government website, Morgan Stanley Research.

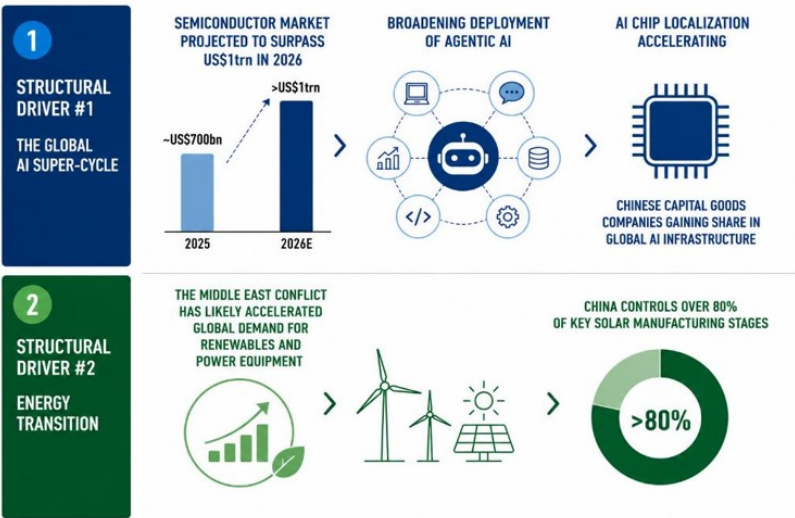
Evolution of Recent Five-Year Plans – A Clear Focus on Quality Growth and Tech Innovation



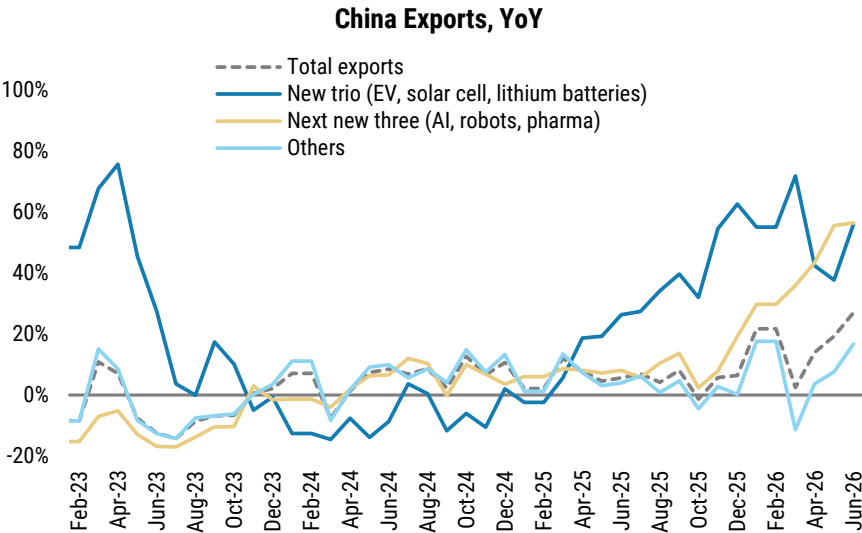
Source: NPC, Morgan Stanley Research.

Exports Continue to Anchor Cyclical Growth, Positioning China’s Electronics and Renewable Supply Chains as Direct Beneficiaries

Two structural drivers for export growth



China’s deep electronics and renewable supply chains will be direct beneficiary

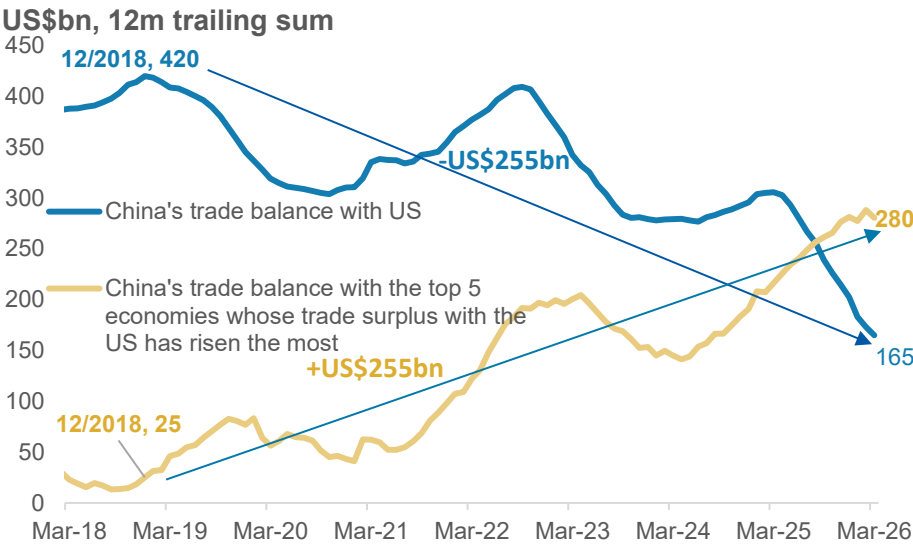
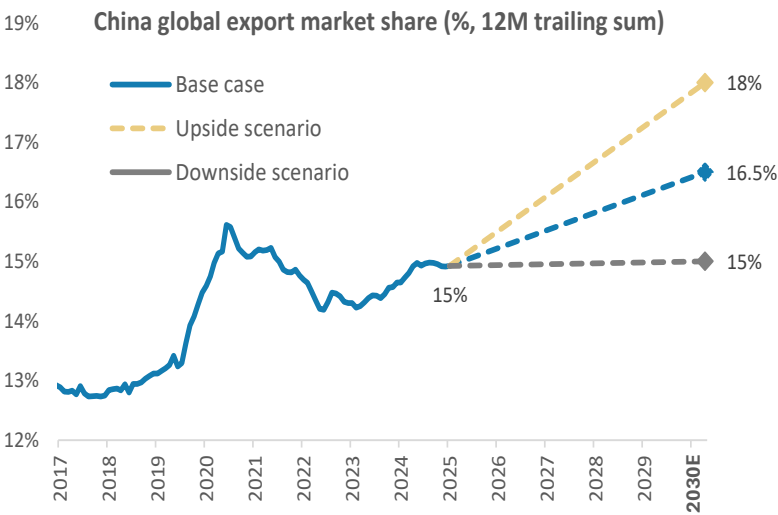


Source: CEIC, Morgan Stanley Research estimates. “New Trio” includes EVs, lithium batteries, and solar cells.

China Has Been Widening Its Lead in Global Exports since 2022; We Expect Further Acceleration Given China’s Best Positioning in Global AI/Energy Capex Supercycle Supply Chain

China likely to contribute 16.5% of global export market share by 2030...

...while continuing to play a critical role in global supply chain despite diversification



Source: Haver, Morgan Stanley Research estimates.

Appendix – Morgan Stanley Cross-asset Allocation and Key Forecasts

Index (Local Ccy)	7/24/2026	MS Jun 2027 Price Target	Current P/E	MS Jun 2027 P/E Target	MS Top Down EPS YoY%	
					2026e	2027e
S&P 500	7,412	8,300	19.6x	20.5x	339	380
					+23%	+12%
MSCI Europe	2,564	2,810	14.9x	16.5x	156	165
					+13%	+6%
Topix	4,011	4,300	16.2x	17.5x	216	235
					+9%	+9%
MSCI EM	1,628	1,800	10.3x	13.0x	125	136
					+40%	+9%

Source: Markit Box, MSCI, RIMES, DataStream, IBES, Bloomberg, Morgan Stanley Research forecasts.

Appendix – Morgan Stanley Cross-asset Allocation and Key Forecasts

Global Asset Allocation					
Equities					
Bonds					
Credit					
Comms					
Cash					

Relative Equity Allocation					
US					
Europe					
Japan					
EM					

Relative Tsy Allocation					
USTs					
EGBs					
JGBs					

Source: Markit Box, MSCI, RIMES, DataStream, IBES, Bloomberg, Morgan Stanley Research forecasts.

Appendix – Morgan Stanley Global Real GDP Growth Forecasts

Real GDP (%Y)	Quarterly																Annual			
	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2QE	3QE	4QE	1QE	2QE	3QE	4QE	2024	2025	2026E	2027E
Global (%Y)	3.3	3.4	3.3	3.7	3.5	3.5	3.5	3.4	3.6	3.1	3.0	3.2	3.4	3.6	3.5	3.3	3.4	3.5	3.2	3.4
Global ex US (%Y)	3.5	3.4	3.5	4.0	3.9	3.8	3.8	3.7	3.8	3.2	3.3	3.4	3.6	3.8	3.7	3.5	3.6	3.8	3.4	3.6
G10 (%Y)	1.5	1.6	1.9	1.9	1.8	1.8	1.7	1.4	1.5	1.5	1.2	1.4	1.5	1.6	1.8	1.9	1.7	1.7	1.4	1.8
US	2.9	3.1	2.8	2.4	2.0	2.1	2.3	2.0	2.7	2.3	1.8	2.3	2.4	2.4	2.5	2.6	2.8	2.1	2.3	2.6
Euro Area	0.7	0.7	1.1	1.4	1.6	1.4	1.2	1.1	0.5	0.7	0.5	0.5	0.8	0.9	1.1	1.2	1.0	1.3	0.5	1.0
Japan	-1.1	-1.1	0.9	0.6	1.5	1.9	0.5	0.3	0.4	0.3	0.6	0.5	0.3	0.8	1.4	1.3	-0.2	1.1	0.4	1.0
UK	0.2	0.8	1.2	2.0	1.8	1.3	1.2	0.9	0.9	1.1	1.1	1.0	0.9	1.0	1.3	1.7	1.0	1.3	1.0	1.2
Canada	1.0	1.7	2.4	3.1	3.1	2.0	1.7	0.7	-0.1	1.3	1.2	1.7	1.7	1.7	1.7	1.7	2.0	1.7	1.1	1.7
Norway	0.3	0.3	1.2	0.9	1.8	2.1	1.4	1.7	0.9	0.9	1.3	1.5	1.7	1.9	1.9	2.0	0.7	1.7	1.1	1.9
Sweden	1.8	1.5	0.8	3.7	0.2	2.7	2.3	1.9	2.2	1.7	2.0	1.8	2.3	2.0	1.7	1.4	1.9	1.7	1.9	1.8
Australia	1.2	0.9	0.8	1.3	1.3	1.9	2.1	2.6	2.6	1.9	1.7	1.2	1.2	1.4	1.5	1.7	1.0	2.0	1.9	1.5
Global (%Q, SAAR) ^	3.7	3.6	3.6	3.7	3.1	3.8	3.8	3.1	3.2	2.2	3.7	4.3	3.3	3.0	3.5	3.5	3.7	3.4	3.2	3.3
G10 (%Q, SAAR) ^	1.1	2.1	2.6	1.7	1.0	1.9	2.3	0.6	1.3	1.4	1.3	1.5	1.7	2.0	2.0	1.9	1.9	1.4	1.4	1.9
US	0.8	3.6	3.3	1.9	-0.6	3.8	4.4	0.5	2.1	2.3	2.3	2.5	2.4	2.6	2.6	2.6	2.4	2.0	2.3	2.6
Euro Area	1.4	0.9	2.0	1.2	2.3	0.0	1.3	0.8	0.0	0.6	0.6	0.8	1.0	1.2	1.3	1.3	1.4	1.1	0.5	1.2
Japan	-1.2	-0.1	2.8	1.4	2.0	1.1	-2.3	0.7	1.8	0.1	-0.6	0.7	0.8	2.7	1.5	0.6	0.6	0.3	0.5	1.3
UK	2.9	2.5	0.7	1.7	2.3	0.6	0.3	0.2	2.5	1.2	0.4	0.0	1.9	1.6	1.6	1.6	2.0	0.9	1.0	1.7
EM (%Y)	4.8	4.7	4.5	5.0	4.8	4.7	4.9	4.9	5.1	4.2	4.4	4.5	4.7	4.9	4.7	4.4	4.7	4.9	4.5	4.6
EM ex China (%Y)	4.4	4.7	4.4	4.8	4.4	4.4	5.0	5.2	5.2	4.2	4.3	4.3	4.8	5.1	4.7	4.3	4.5	4.7	4.5	4.7
AXJ (%Y)	5.6	5.3	4.9	5.5	5.4	5.4	5.5	5.4	5.8	5.0	5.0	4.9	5.1	5.2	5.1	4.9	5.3	5.5	5.2	5.1
China	5.3	4.7	4.6	5.4	5.4	5.2	4.8	4.5	5.0	4.3	4.5	4.7	4.6	4.7	4.7	4.5	5.0	5.0	4.6	4.6
India	7.5	7.5	6.6	7.4	7.0	6.8	8.3	8.0	7.8	6.5	6.7	6.8	7.0	7.0	7.2	7.0	7.2	7.5	7.0	7.0
Hong Kong	2.9	3.0	2.1	2.5	3.2	3.3	3.8	4.0	5.9	5.0	4.4	3.8	3.3	4.6	5.1	5.0	2.6	3.6	4.8	4.5
Korea	3.3	2.3	1.5	1.2	-0.1	1.0	1.7	1.6	3.8	3.7	2.8	1.5	2.2	3.7	1.6	1.5	2.1	1.1	2.8	2.2
Taiwan	7.2	5.3	4.7	4.1	5.5	7.7	8.2	12.7	14.6	10.1	9.0	2.8	6.4	6.1	3.7	2.4	5.3	8.6	8.9	4.7

Source: Haver Analytics, IMF, Morgan Stanley Research forecasts. Note: Global and regional aggregates are GDP-weighted averages.

Appendix – Morgan Stanley CPI Forecasts

Headline CPI Inflation (%Y)	Quarterly																Annual			
	2024				2025				2026				2027				2024	2025	2026E	2027E
	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2QE	3QE	4QE	1QE	2QE	3QE	4QE				
Global	2.5	2.5	2.3	2.3	2.1	1.9	1.8	1.9	2.2	2.8	2.7	2.9	2.7	2.1	2.0	2.0	2.4	1.9	2.6	2.2
G10	3.0	2.9	2.5	2.5	2.6	2.4	2.7	2.6	2.4	3.2	3.0	3.1	2.9	2.0	1.9	1.8	2.7	2.6	2.9	2.1
US	3.2	3.2	2.7	2.7	2.7	2.5	2.9	2.7	2.7	3.8	3.3	3.1	2.8	1.7	1.9	2.1	3.0	2.7	3.2	2.1
Euro Area	2.6	2.5	2.2	2.2	2.3	2.0	2.1	2.1	2.0	3.0	3.0	3.3	3.1	2.3	2.0	1.7	2.4	2.1	2.8	2.3
Japan^	2.5	2.7	2.8	2.9	3.8	3.4	2.9	2.7	1.4	1.6	1.8	2.8	2.9	1.3	1.3	0.0	2.7	3.2	1.9	1.4
UK	3.5	2.1	2.0	2.5	2.8	3.5	3.8	3.4	3.1	2.8	3.1	3.2	3.1	2.7	2.4	2.1	2.5	3.4	3.0	2.6
Canada	2.9	2.8	2.1	1.9	2.3	1.8	2.0	2.2	2.3	2.8	2.4	2.2	2.0	1.8	2.1	2.1	2.4	2.1	2.6	1.9
Norway	4.4	3.1	2.8	2.4	2.8	2.9	3.4	3.1	3.1	3.1	3.1	2.4	2.6	2.4	2.3	2.1	3.2	3.0	3.1	2.3
Sweden	4.7	3.4	2.0	1.3	0.9	0.4	0.9	0.5	0.5	0.4	0.8	1.8	2.2	2.6	2.2	1.8	2.8	0.7	0.9	2.2
Australia	3.6	3.8	2.9	2.4	2.4	2.1	3.2	3.7	4.1	5.0	4.6	4.2	3.4	2.5	2.3	2.6	3.2	2.9	4.5	2.7
EM	2.1	2.2	2.2	2.2	1.7	1.5	1.2	1.4	2.0	2.5	2.5	2.7	2.5	2.3	2.1	2.1	2.1	1.5	2.4	2.2
AXJ	1.7	1.8	1.7	1.8	1.1	0.9	0.6	0.9	1.7	2.2	2.2	2.4	2.2	2.1	1.9	1.8	1.7	0.9	2.1	2.0
China	0.0	0.3	0.5	0.2	-0.1	0.0	-0.2	0.6	0.8	1.1	0.7	0.7	0.5	0.6	0.6	0.7	0.2	0.1	0.8	0.6
India	5.0	4.9	4.2	5.6	3.7	2.7	1.7	0.8	3.1	3.9	4.7	5.8	5.4	5.4	4.5	4.0	4.9	2.2	4.4	4.8
Hong Kong	1.9	1.2	2.4	1.4	1.6	1.8	1.1	1.3	1.6	2.1	2.2	2.1	1.7	1.8	1.9	1.8	1.7	1.4	2.0	1.8
Korea	3.0	2.7	2.2	1.4	2.1	2.1	1.9	1.9	2.1	2.9	2.6	2.5	2.4	1.9	2.1	2.3	2.3	2.0	2.5	2.2
Taiwan	2.3	2.2	2.5	2.3	2.2	1.9	1.7	1.6	1.2	2.2	2.1	1.8	2.1	2.2	1.9	2.1	2.3	1.9	1.8	2.1
Singapore	3.2	2.8	2.2	1.4	1.0	0.8	0.6	1.2	1.5	1.3	2.4	2.0	1.7	1.8	1.9	1.9	2.4	0.9	1.8	1.8
Indonesia	2.8	2.8	2.0	1.6	0.6	1.8	2.4	2.8	3.9	2.9	3.2	3.3	3.2	2.7	2.4	2.4	2.3	1.9	3.4	2.7
Malaysia	1.7	1.9	1.9	1.8	1.5	1.3	1.3	1.4	1.6	2.0	2.2	2.3	2.3	2.0	2.1	2.0	1.8	1.4	2.0	2.1
Thailand	-0.8	0.8	0.6	1.0	1.1	-0.3	-0.7	-0.5	-0.5	2.7	2.7	2.7	2.6	1.1	1.2	1.2	0.4	0.0	1.9	1.5
Philippines	3.3	3.8	3.2	2.6	2.2	1.4	1.4	1.7	2.8	6.8	5.8	5.7	5.1	1.4	3.1	3.9	3.2	1.7	5.3	3.4
Core Inflation (%Y)																				
Global (G4+Selected EM)	2.5	2.2	2.2	2.2	2.3	2.4	2.5	2.6	2.5	2.5	2.5	2.6	2.4	2.2	2.1	2.1	2.3	2.4	2.5	2.2
G4	3.2	2.8	2.8	2.8	2.8	2.7	2.8	2.7	2.8	2.8	2.7	2.7	2.6	2.4	2.3	2.2	2.9	2.7	2.8	2.4
US (core PCE)	3.1	2.8	2.8	3.0	2.8	2.7	2.9	2.9	3.1	3.3	3.2	3.0	2.7	2.3	2.3	2.4	2.9	2.8	3.2	2.4
Euro Area	3.1	2.8	2.8	2.7	2.6	2.4	2.3	2.4	2.3	2.4	2.4	2.4	2.5	2.4	2.3	2.2	2.8	2.4	2.4	2.3
Japan^	3.2	2.2	2.0	2.4	2.7	3.2	3.2	3.0	2.5	1.8	2.0	2.5	2.5	2.7	2.3	1.9	2.5	3.0	2.2	2.3
UK	4.6	3.6	3.3	3.4	3.6	3.7	3.6	3.3	3.2	2.6	2.6	2.7	2.7	2.6	2.4	2.2	3.7	3.5	2.8	2.5
Selected EM	1.9	1.7	1.5	1.6	1.8	2.1	2.3	2.5	2.3	2.2	2.3	2.4	2.2	2.1	2.0	2.0	1.7	2.2	2.3	2.1
China	0.7	0.6	0.3	0.3	0.3	0.6	0.9	1.2	1.2	1.1	1.1	0.9	0.8	0.8	0.9	0.9	0.5	0.8	1.1	0.8
India	3.4	3.2	3.5	3.7	4.0	4.4	4.3	4.6	3.7	3.8	4.3	4.8	4.3	4.3	3.8	3.7	3.4	4.3	4.2	4.0
Brazil	3.6	3.1	3.5	3.8	4.7	5.2	5.0	4.7	4.5	4.4	4.4	4.6	4.3	3.7	3.4	3.4	3.5	4.9	4.4	3.7
Mexico	4.7	4.2	4.0	3.7	3.6	4.1	4.2	4.3	4.5	4.2	4.0	4.0	3.8	3.9	4.0	4.0	4.1	4.1	4.2	4.0

Source: Haver Analytics, national central banks, Morgan Stanley Research forecasts. ^7-day reverse repo rate.

Appendix – Morgan Stanley Policy Rate Forecasts

Policy Rates	Current	2024				2025				2026				2027			
		1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3QE	4QE	1QE	2QE	3QE	4QE
US	3.625	5.375	5.375	4.875	4.375	4.375	4.375	4.125	3.625	3.625	3.625	3.625	3.625	3.375	3.125	3.125	3.125
Euro Area*	2.25	4.00	3.75	3.50	3.00	2.50	2.00	2.00	2.00	2.00	2.25	2.50	2.50	2.50	2.25	2.00	2.00
Japan**	1.00	0.10	0.10	0.25	0.25	0.50	0.50	0.50	0.75	0.75	1.00	1.00	1.25	1.25	1.50	1.50	1.50
UK	3.75	5.25	5.00	4.75	4.75	4.50	4.25	4.00	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.50	3.50
China^	1.40	1.80	1.80	1.50	1.50	1.50	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40
India	5.25	6.50	6.50	6.50	6.50	6.25	5.50	5.50	5.25	5.25	5.25	5.25	5.25	5.25	5.50	5.75	5.75
Hong Kong	4.00	5.75	5.75	5.25	4.75	4.75	4.75	4.50	4.00	4.00	4.00	4.00	4.00	3.75	3.50	3.50	3.50
S. Korea	2.75	3.50	3.50	3.50	3.00	3.00	2.75	2.50	2.50	2.50	2.50	2.75	3.00	3.25	3.50	3.50	3.50
Taiwan	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.13	2.13	2.25	2.25

Source: Haver Analytics, national central banks, Morgan Stanley Research forecasts. *ECB Deposit Facility rate; **Uncollateralized Overnight Call Rate Upper Limit; ^7-day reverse repo rate.

Appendix – Morgan Stanley Global Currency Forecasts

FX	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
EUR/USD	1.23	1.2	1.18	1.16	1.15	1.14
USD/JPY	160	157	159	156	154	152
GBP/USD	1.39	1.38	1.36	1.34	1.32	1.3
USD/CHF	0.73	0.74	0.74	0.75	0.77	0.78
EUR/CHF	0.9	0.89	0.87	0.87	0.88	0.89
EUR/SEK	10.6	10.4	10.3	10.2	10.21	10.21
EUR/NOK	10.7	10.6	10.5	10.5	10.54	10.59
USD/CAD	1.35	1.35	1.36	1.36	1.36	1.36
AUD/USD	0.74	0.75	0.74	0.73	0.72	0.71
NZD/USD	0.61	0.62	0.61	0.6	0.61	0.61
USD/CNY	6.72	6.75	6.77	6.8	6.77	6.75
USD/HKD	7	7	7.81	7.8	7.79	7
USD/IDR	17150.0	17100.0	17200.0	17400.0	17111.1	16826.2
USD/INR	93	93	94	95	93.8	92.7
USD/KRW	1430	1420.0	1430.0	1440.0	1418.23	1396.56
USD/MYR	3.8	3.8	3.8	3.9	3.9	3.9
USD/PHP	59.8	59.6	60.0	60.5	59.965	59.43
USD/SGD	1.2	1.2	1.2	1.3	1.3	1.3
USD/TWD	30.7	30.5	30.8	31.0	30.69	30.38
USD/THB	31.4	31.2	31.6	31.9	31.8	31.8
USD/BRL	5.1	5.0	4.95	4.9	4.85	4.8
USD/MXN	17.25	17.2	17.1	17.2	17.3	17.4
USD/ARS	1590.3	1671.1	1772.6	1826.3	1983.9	1983.2
USD/CLP	880	870	860	850	840	840
USD/COP	3800.0	3825.0	3850.0	3875.0	3900.0	3925.0
USD/PEN	3.6	3.6	3.6	3.6	3.5	3.6
USD/ZAR	16.1	15.7	16.0	16.3	16.34	16.37
USD/TRY	48.4	50.6	53.0	55.4	58.0	60.5
USD/EGP	50.0	49.0	50.0	51.0	51.5	52.0
USD/ILS	2.92	2.92	2.92	2.92	2.92	2.92
EUR/PLN	4.33	4.35	4.32	4.3	4.33	4.36
EUR/CZK	24.4	24.5	24.4	24.3	25.1	26.0
EUR/HUF	353	345	350	355	366	377
DXY	95	96	98	99	99	99
Broad USD (Fed)	102	101	100	99	99	98

Source: Morgan Stanley Research forecasts.

This report references U.S. Executive Order 14032 and/or entities or securities that are designated thereunder. U.S. persons may be prohibited from buying certain securities of entities named in this report. Readers are solely responsible for ensuring that their investment activities are carried out in compliance with applicable laws.

This report references export controls and/or entities that may be subject to export control restrictions. Readers are solely responsible for ensuring that their investment or trade activities are carried out in compliance with applicable laws.

Disclosure Section

The information and opinions in Morgan Stanley Research were prepared or are disseminated by Morgan Stanley Asia Limited (which accepts the responsibility for its contents) and/or Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research), and/or Morgan Stanley Taiwan Limited and/or Morgan Stanley & Co International plc, Seoul Branch, and/or Morgan Stanley Australia Limited (A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents), and/or Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents), and/or Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com which accepts the responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research, and their affiliates (collectively, "Morgan Stanley"). Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts.

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/eqr/disclosures/webapp/generalresearch, or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1800 303-2495; Hong Kong +852 2848-5999; Latin America +1718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Chloe Liu; Laura Wang; Vicky Wu.

Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at www.morganstanley.com/institutional/research/conflictolicies. A Portuguese version of the policy can be found at www.morganstanley.com.br

Important Regulatory Disclosures on Subject Companies

As of June 30, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: Advanced Micro-Fabrication Equipment Inc, AIA Group Ltd, Alibaba Group Holding, Aluminum Corp. of China Ltd., Anhui Yingliu Electromechanical Co Ltd, ASMPT Ltd, Baidu, Beijing Geekplus Technology Co., Ltd, BYD Company Limited, Cambricon Technology Corporation, China Life Insurance Co Ltd, China Merchants Bank, China Shenhua Energy, Contemporary Amperex Technology Co. Ltd., Dajin Heavy Industry, Full Truck Alliance Co. Ltd, Futu Holdings Ltd, GigaDevice Semiconductor Beijing Inc, H World Group Ltd, HK Exchanges & Clearing, Huaming Power Equipment, JD.com, Inc., Kanzhun Ltd, Meituan, Montage Technology Co Ltd, PDD Holdings Inc, PetroChina, Ping An Insurance Group Co of China Ltd, Sieyuan Electric Co.Ltd., Sungrow Power Supply Co. Ltd, Sunresin New Materials Co Ltd, Trip.com Group Ltd, WeiChai Power, WuXi AppTec Co Ltd, Wuxi Lead Intelligent, Xiaomi Corp, Zhejiang Dingli Machinery Co Ltd., Zhejiang Huayou Cobalt Co Ltd, Zhongji Innolight Co Ltd, Zijin Mining Group, ZTO Express.

Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of Alibaba Group Holding, Contemporary Amperex Technology Co. Ltd., Duality Biotherapeutics Inc, Hansoh Pharmaceutical Group Co Ltd, Jiangsu Hengrui, Kanzhun Ltd, Montage Technology Co Ltd, Tencent Holdings Ltd., WuXi AppTec Co Ltd, Zijin Mining Group, Zoomlion Heavy Industry.

Within the last 12 months, Morgan Stanley has received compensation for investment banking services from Alibaba Group Holding, ASMPT Ltd, Contemporary Amperex Technology Co. Ltd., Hansoh Pharmaceutical Group Co Ltd, HKT Trust and HKT Ltd., Industrial and Commercial Bank of China, Lenovo, Meituan, Midea Group Co Ltd, Montage Technology Co Ltd, Ping An Insurance Group Co of China Ltd, Tencent Holdings Ltd., WuXi AppTec Co Ltd, Xiaomi Corp, Zhongji Innolight Co Ltd, Zijin Mining Group, Zoomlion Heavy Industry.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from Advanced Micro-Fabrication Equipment Inc, AIA Group Ltd, Alibaba Group Holding, Aluminum Corp. of China Ltd., Anhui Yingliu Electromechanical Co Ltd, ANTA Sports Products, ASMPT Ltd, Baidu, Bank of Ningbo Co. Ltd, Beijing Geekplus Technology Co., Ltd, BYD Company Limited, China Construction Bank Corp., China Life Insurance Co Ltd, China Merchants Bank, China Petroleum & Chemical Corp., China Resources Land Ltd., Contemporary Amperex Technology Co. Ltd., Duality Biotherapeutics Inc, Full Truck Alliance Co. Ltd, Futu Holdings Ltd, Fuyao Glass Industry Group, GigaDevice Semiconductor Beijing Inc, H World Group Ltd, Haier Smart Home Co Ltd, Hansoh Pharmaceutical Group Co Ltd, HK Exchanges & Clearing, Huaxin Building Materials, Industrial and Commercial Bank of China, JD.com, Inc., Jiangsu Hengrui, Kanzhun Ltd, Lenovo, Luxshare Precision Industry Co., Ltd., Meituan, MetaX Integrated Circuits, Midea Group Co Ltd., Montage Technology Co Ltd, NetEase, Inc, PDD Holdings Inc, Ping An Insurance Group Co of China Ltd, Sany Heavy Industry Co., Ltd., Sungrow Power Supply Co. Ltd, Techtronic Industries Co Ltd, Tencent Holdings Ltd., Trip.com Group Ltd, Universal Scientific Ind. (Shanghai), Wanhua Chemical, WuXi AppTec Co Ltd, Wuxi Lead Intelligent, Xiaomi Corp, Zhejiang Huayou Cobalt Co Ltd, Zhongji Innolight Co Ltd, Zijin Mining Group, Zoomlion Heavy Industry.

Within the last 12 months, Morgan Stanley has received compensation for products and services other than investment banking services from AIA Group Ltd, Alibaba Group Holding, ANTA Sports Products, Baidu, Bank of Ningbo Co. Ltd, BYD Company Limited, China Construction Bank Corp., China Jushi, China Life Insurance Co Ltd, China Merchants Bank, China Petroleum & Chemical Corp., Full Truck Alliance Co. Ltd, Futu Holdings Ltd, H World Group Ltd, Haier Smart Home Co Ltd, HK Exchanges & Clearing, Industrial

and Commercial Bank of China, Kanzhun Ltd, Lenovo, Meituan, Midea Group Co Ltd., NetEase, Inc, PetroChina, Ping An Insurance Group Co of China Ltd, Techtronic Industries Co Ltd, Tencent Holdings Ltd., Trip.com Group Ltd, Universal Scientific Ind. (Shanghai), Wanhua Chemical, WuXi AppTec Co Ltd, Xiaomi Corp, Yum China Holdings Inc., Zijin Mining Group, ZTO Express.

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: Advanced Micro-Fabrication Equipment Inc, AIA Group Ltd, Alibaba Group Holding, Aluminum Corp. of China Ltd., Anhui Yingliu Electromechanical Co Ltd, ANTA Sports Products, ASMPT Ltd, Baidu, Bank of Ningbo Co. Ltd, Beijing Geekplus Technology Co., Ltd., BYD Company Limited, China Construction Bank Corp., China Life Insurance Co Ltd, China Merchants Bank, China Petroleum & Chemical Corp., China Resources Land Ltd., Contemporary Amperex Technology Co. Ltd., Duality Biotherapeutics Inc, Full Truck Alliance Co. Ltd, Futu Holdings Ltd, Fuyao Glass Industry Group, GigaDevice Semiconductor Beijing Inc, H World Group Ltd, Haier Smart Home Co Ltd, Hansoh Pharmaceutical Group Co Ltd, HK Exchanges & Clearing, HKT Trust and HKT Ltd., Huaxin Building Materials, Industrial and Commercial Bank of China, JD.com, Inc., Jiangsu Hengrui, Kanzhun Ltd, Lenovo, Luxshare Precision Industry Co., Ltd., Meituan, MetaX Integrated Circuits, Midea Group Co Ltd., Montage Technology Co Ltd, NetEase, Inc, PDD Holdings Inc, Ping An Insurance Group Co of China Ltd, Sany Heavy Industry Co., Ltd., Sungrow Power Supply Co. Ltd, Techtronic Industries Co Ltd, Tencent Holdings Ltd., Trip.com Group Ltd, Universal Scientific Ind. (Shanghai), Wanhua Chemical, WuXi AppTec Co Ltd, Wuxi Lead Intelligent, Xiaomi Corp, Zhejiang Huayou Cobalt Co Ltd, Zhongji Innolight Co Ltd, Zijin Mining Group, Zoomlion Heavy Industry.

Within the last 12 months, Morgan Stanley has either provided or is providing non-investment banking, securities-related services to and/or in the past has entered into an agreement to provide services or has a client relationship with the following company: AIA Group Ltd, Alibaba Group Holding, ANTA Sports Products, Baidu, Bank of Ningbo Co. Ltd, Beijing Geekplus Technology Co., Ltd., BYD Company Limited, China Construction Bank Corp., China Jushi, China Life Insurance Co Ltd, China Merchants Bank, China Petroleum & Chemical Corp., China Resources Land Ltd., Duality Biotherapeutics Inc, Full Truck Alliance Co. Ltd, Futu Holdings Ltd, H World Group Ltd, Haier Smart Home Co Ltd, HK Exchanges & Clearing, Industrial and Commercial Bank of China, Kanzhun Ltd, Lenovo, Meituan, Midea Group Co Ltd., Montage Technology Co Ltd, NetEase, Inc, PetroChina, PICC P&C Company Ltd, Ping An Insurance Group Co of China Ltd, Techtronic Industries Co Ltd, Tencent Holdings Ltd., Trip.com Group Ltd, Universal Scientific Ind. (Shanghai), Wanhua Chemical, WuXi AppTec Co Ltd, Xiaomi Corp, Yum China Holdings Inc., Zijin Mining Group, ZTO Express.

An employee, director or consultant of Morgan Stanley is a director of Beijing Geekplus Technology Co., Ltd.. This person is not a research analyst or a member of a research analyst's household.

Morgan Stanley & Co. LLC makes a market in the securities of NetEase, Inc.

The equity research analysts or strategists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality of research, investor client feedback, stock picking, competitive factors, firm revenues and overall investment banking revenues. Equity Research analysts' or strategists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

Morgan Stanley and its affiliates do business that relates to companies/instruments covered in Morgan Stanley Research, including market making, providing liquidity, fund management, commercial banking, extension of credit, investment services and investment banking. Morgan Stanley sells to and buys from customers the securities/instruments of companies covered in Morgan Stanley Research on a principal basis. Morgan Stanley may have a position in the debt of the Company or instruments discussed in this report. Morgan Stanley trades or may trade as principal in the debt securities (or in related derivatives) that are the subject of the debt research report.

Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

STOCK RATINGS

Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Global Stock Ratings Distribution

(as of June 30, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Important Disclosures for Morgan Stanley Smith Barney LLC Customers

Important disclosures regarding any material conflict of interest that can reasonably be expected to have influenced Morgan Stanley Smith Barney LLC's choice of a third-party research provider or the subject company of a third-party research report, are available on the Morgan Stanley Wealth Management disclosure website at www.morganstanley.com/online/researchdisclosures. For Morgan Stanley specific disclosures, you may refer to <https://www.morganstanley.com/eqr/disclosures/webapp/generalresearch>.

Each Morgan Stanley research report is reviewed and approved on behalf of Morgan Stanley Smith Barney LLC. This review and approval is conducted by the same person who reviews the research report on behalf of Morgan Stanley. This could create a conflict of interest.

Other Important Disclosures

A member of Research who had or could have had access to the research prior to completion owns securities (or related derivatives) in the Alibaba Group Holding. This person is not a research analyst or a member of research analyst's household.

Morgan Stanley Research policy is to update research reports as and when the Research Analyst and Research Management deem appropriate, based on developments with the issuer, the sector, or the market that may have a material impact on the research views or opinions stated therein. In addition, certain Research publications are intended to be updated on a regular periodic basis (weekly/monthly/quarterly/annual) and will ordinarily be updated with that frequency, unless the Research Analyst and Research Management determine that a different publication schedule is appropriate based on current conditions.

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act. Morgan Stanley produces an equity research product called a "Tactical Idea." Views contained in a "Tactical Idea" on a particular stock may be contrary to the recommendations or views expressed in research on the same stock. This may be the result of differing time horizons, methodologies, market events, or other factors. For all research available on a particular stock, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Morgan Stanley Research is provided to our clients through our proprietary research portal on Matrix and also distributed electronically by Morgan Stanley to clients. Certain, but not all, Morgan Stanley Research products are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience. For access to all available Morgan Stanley Research, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>. Any access and/or use of Morgan Stanley Research is subject to Morgan Stanley's Terms of Use (<http://www.morganstanley.com/terms.html>). By accessing and/or using Morgan Stanley Research, you are indicating that you have read and agree to be bound by our Terms of Use (<http://www.morganstanley.com/terms.html>). In addition you consent to Morgan Stanley processing your personal data and using cookies in accordance with our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html), including for the purposes of setting your preferences and to collect readership data so that we can deliver better and more personalized service and products to you. To find out more information about how Morgan Stanley processes

personal data, how we use cookies and how to reject cookies see our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html). Please use the provided link to review the Terms and Conditions and Most Important Terms and Conditions for Morgan Stanley India Company Private Limited (https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms_and_conditions.pdf) and the following link to review the audit report (https://ny.matrix.ms.com/eqr/research/webapp/researchdocs/MSICPL_Morgan_Stanley_Research_Audit_Report.pdf).

If you do not agree to our Terms of Use and/or if you do not wish to provide your consent to Morgan Stanley processing your personal data or using cookies please do not access our research.

Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

The "Important Regulatory Disclosures on Subject Companies" section in Morgan Stanley Research lists all companies mentioned where Morgan Stanley owns 1% or more of a class of common equity securities of the companies. For all other companies mentioned in Morgan Stanley Research, Morgan Stanley may have an investment of less than 1% in securities/instruments or derivatives of securities/instruments of companies and may trade them in ways different from those discussed in Morgan Stanley Research. Employees of Morgan Stanley not involved in the preparation of Morgan Stanley Research may have investments in securities/instruments or derivatives of securities/instruments of companies mentioned and may trade them in ways different from those discussed in Morgan Stanley Research. Derivatives may be issued by Morgan Stanley or associated persons.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Morgan Stanley Research personnel may participate in company events such as site visits and are generally prohibited from accepting payment by the company of associated expenses unless pre-approved by authorized members of Research management. Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.

To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.

Certain information in Morgan Stanley Research was sourced by employees of the Shanghai Representative Office of Morgan Stanley Asia Limited for the use of Morgan Stanley Asia Limited.

Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.

Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V. which is regulated by Comisión Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FC0118J); in Australia to "wholesale clients" within the meaning of the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com. Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts; in Canada by Morgan Stanley Canada Limited; in Germany and the European Economic Area where required by Morgan Stanley Europe S.E., authorised

and regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) under the reference number 149169; in the US by Morgan Stanley & Co. LLC, which accepts responsibility for its contents. Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority, disseminates in the UK research that it has prepared, and research which has been prepared by any of its affiliates, only to persons who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Order"); (ii) are persons who are high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated or caused to be communicated. RMB Morgan Stanley Proprietary Limited is a member of the JSE Limited and A2X (Pty) Ltd. RMB Morgan Stanley Proprietary Limited is a joint venture owned equally by Morgan Stanley International Holdings Inc. and RMB Investment Advisory (Proprietary) Limited, which is wholly owned by FirstRand Limited. The information in Morgan Stanley Research is being disseminated by Morgan Stanley Saudi Arabia, regulated by the Capital Market Authority in the Kingdom of Saudi Arabia, and is directed at Sophisticated investors only.

Morgan Stanley Hong Kong Securities Limited is the liquidity provider/market maker for securities of AIA Group Ltd, Alibaba Group Holding, Aluminum Corp. of China Ltd., ANTA Sports Products, ASMPT Ltd, Baidu, BYD Company Limited, China Construction Bank Corp., China Life Insurance Co Ltd, China Merchants Bank, China Petroleum & Chemical Corp., China Resources Land Ltd., China Shenhua Energy, Contemporary Amperex Technology Co. Ltd., GigaDevice Semiconductor Beijing Inc, HK Exchanges & Clearing, HKT Trust and HKT Ltd., Industrial and Commercial Bank of China, JD.com, Inc., Lenovo, Luxshare Precision Industry Co., Ltd., Meituan, Midea Group Co Ltd., Montage Technology Co Ltd, NetEase, Inc, PetroChina, PICC P&C Company Ltd, Ping An Insurance Group Co of China Ltd, Techtronic Industries Co Ltd, Tencent Holdings Ltd., Trip.com Group Ltd, WeiChai Power, WuXi AppTec Co Ltd, Xiaomi Corp, Zijin Mining Group, Zoomlion Heavy Industry, ZTO Express listed on the Stock Exchange of Hong Kong Limited. An updated list can be found on HKEx website: <http://www.hkex.com.hk>.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (DIFC Branch), regulated by the Dubai Financial Services Authority (the DFSA) or by Morgan Stanley & Co. International plc (ADGM Branch), regulated by the Financial Services Regulatory Authority Abu Dhabi (the FSRA), and is directed at Professional Clients only, as defined by the DFSA or the FSRA, respectively. The financial products or financial services to which this research relates will only be made available to a customer who we are satisfied meets the regulatory criteria of a Professional Client. A distribution of the different MS Research ratings or recommendations, in percentage terms for Investments in each sector covered, is available upon request from your sales representative.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (QFC Branch), regulated by the Qatar Financial Centre Regulatory Authority (the QFCRA), and is directed at business customers and market counterparties only and is not intended for Retail Customers as defined by the QFCRA.

As required by the Capital Markets Board of Turkey, investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Investment advisory service is provided exclusively to persons based on their risk and income preferences by the authorized firms. Comments and recommendations stated here are general in nature. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations.

The trademarks and service marks contained in Morgan Stanley Research are the property of their respective owners. Third-party data providers make no warranties or representations relating to the accuracy, completeness, or timeliness of the data they provide and shall not have liability for any damages relating to such data. The Global Industry Classification Standard (GICS) was developed by and is the exclusive property of MSCI and S&P.

Morgan Stanley Research, or any portion thereof may not be reprinted, sold or redistributed without the written consent of Morgan Stanley.

Indicators and trackers referenced in Morgan Stanley Research may not be used as, or treated as, a benchmark under Regulation EU 2016/1011, or any other similar framework.

The issuers and/or fixed income products recommended or discussed in certain fixed income research reports may not be continuously followed. Accordingly, investors should regard those fixed income research reports as providing stand-alone analysis and should not expect continuing analysis or additional reports relating to such issuers and/or individual fixed income products.

Morgan Stanley may hold, from time to time, material financial and commercial interests regarding the company subject to the Research report.

Registration granted by SEBI and certification from the National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing.